BERNSTEIN
SOCIETE GENERALE GROUP

15 October 2026

European Capital Goods

EU Capital Goods: Industrial Indicators - Sept/Aug



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Our new Industrial Indicators report helps investors understand the drivers of EU industrial trends and where we are in the cycle. This monthly report includes indicators such as our Short Cycle Indicator (SCI), component and regional PMI data, and hard industrial data such as factory orders and IP by country and components. Please reach out to your salesperson if you would like access to the underlying data.

Global Short Cycle Indicator. The Global Short Cycle Indicator, factoring in EU, US and Chinese PMI data, improved MoM to 1.08 in September which coincides with continued positive organic sales growth and Industrial Production (IP). Specifically for Europe, IP upcycles (4+ consecutive quarters of positive growth) have historically lasted ~14 quarters on average. Excluding the 1Q26 IP decline, we are only ~6 quarters into the current upcycle, suggesting the cycle remains in relatively early innings

EU Regional PMIs. EU indicators broadly improved MoM in September. EU New Orders pushed further into expansion territory at 52.2 (vs. 51.7 prior). Expansions were seen in France, Italy, Spain and the UK. Germany Manufacturing New Orders slipped to 54.4 but remained firmly in expansion territory. Stocks of Finished Goods across the EU rose MoM to 49.5 but remained in contraction, particularly in Germany, France, Spain and the UK. Delivery Times fell MoM but remained elevated, indicating supply chains still remain tighter than normal. Backlogs moved into expansion territory at 51.4, recording the strongest monthly expansion since May 2022.

EU development by Industry. New Orders remained strongest in Technology Equipment (55.8) and Machinery & Equipment (55.3), while Autos & Auto Parts (52.2) and Metals & Mining (52.9) also remained in expansion. Chemicals (49.8) stayed in contraction, while Construction Materials (50.1) was broadly flat. Stocks of Finished Goods generally remained subdued, suggesting limited inventory build. NOI was strongest in Technology Equipment, Metals & Mining and Autos, indicating demand continues to outpace inventories across key industrial end markets.

German Indicators. In August, German Factory Orders (ex-large orders) were stable MoM at 85.5, still representing ~5.7% YoY growth, the fastest growth rate since January 2022. Expectations continued to improve, with the IFO Expectations Survey rising 1.4 points MoM to 90.4 in September.

Near-Term Consensus Rising. Consensus now forecasts IP growth of 0.9%/2.2% in Germany and 2.2%/2.2% in the US across 4Q26/1Q27, both higher than three months ago. Median consensus organic growth forecasts for short-cycle names have also moved higher, reaching 10.4%/7.6% in the US (+4.0pp/+2.4pp vs. six months ago) and 6.0%/6.9% in Europe (+0.5pp/+0.7pp) in 4Q26/1Q27.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

First Published: 15 Oct 2026 04:00 UTC Completion Date: 14 Oct 2026 16:47 UTC

BERNSTEIN TICKER TABLE

			14 Oct 2026		TTM	Reported EPS				Adjusted P/E (x)	
Ticker	Rating	Cur	Closing Price	Price Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
ABBN.SW (ABB)	M	CHF	78.88	80.00	22.5%	USD	2.56	2.99	3.60	37.1	31.8	26.4
ATCOA.SS (Atlas Copco)	O	SEK	208.90	240.00	15.2%	SEK	6.66	6.04	6.68	31.3	34.6	31.3
ASSAB.SS (Assa Abloy)	M	SEK	351.50	385.00	(6.1)%	SEK	13.24	15.49	17.20	26.6	22.7	20.4
RXL.FP (Rexel)	O	EUR	34.00	44.00	7.4%	EUR	2.27	2.66	3.15	15.0	12.8	10.8
SU.FP (Schneider)	O	EUR	264.40	350.00	(4.3)%	EUR	8.43	10.42	13.24	31.4	25.4	20.0
SIE.GR (Siemens)	O	EUR	274.70	330.00	3.1%	EUR	12.23	11.29	11.64	27.5	23.7	22.3
ANDR.AV (Andritz)	O	EUR	82.20	104.00	22.6%	EUR	4.65	5.03	5.58	17.7	16.3	14.7
G1A.GR (GEA)	M	EUR	69.10	69.00	0.3%	EUR	2.50	3.07	3.41	27.6	22.5	20.3
KRN.GR (Krones)	M	EUR	106.40	111.00	(25.7)%	EUR	9.45	9.49	9.92	11.3	11.2	10.7
DEZ.GR (DEUTZ)	O	EUR	10.71	12.40	10.1%	EUR	0.37	0.39	1.26	28.6	27.6	8.5
GBF.GR (Bilfinger)	M	EUR	54.70	62.00	(59.3)%	EUR	4.74	2.88	4.95	11.5	19.0	11.1
EDME			1,581.51									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

ABBN.SW, RXL.FP, SU.FP estimate is Adjusted EPS; ATCOA.SS estimate is Adjusted EPS FCF (M); ANDR.AV, G1A.GR, KRN.GR, DEZ.GR, GBF.GR valuation is Reported P/E (x); ATCOA.SS base year is 2024;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

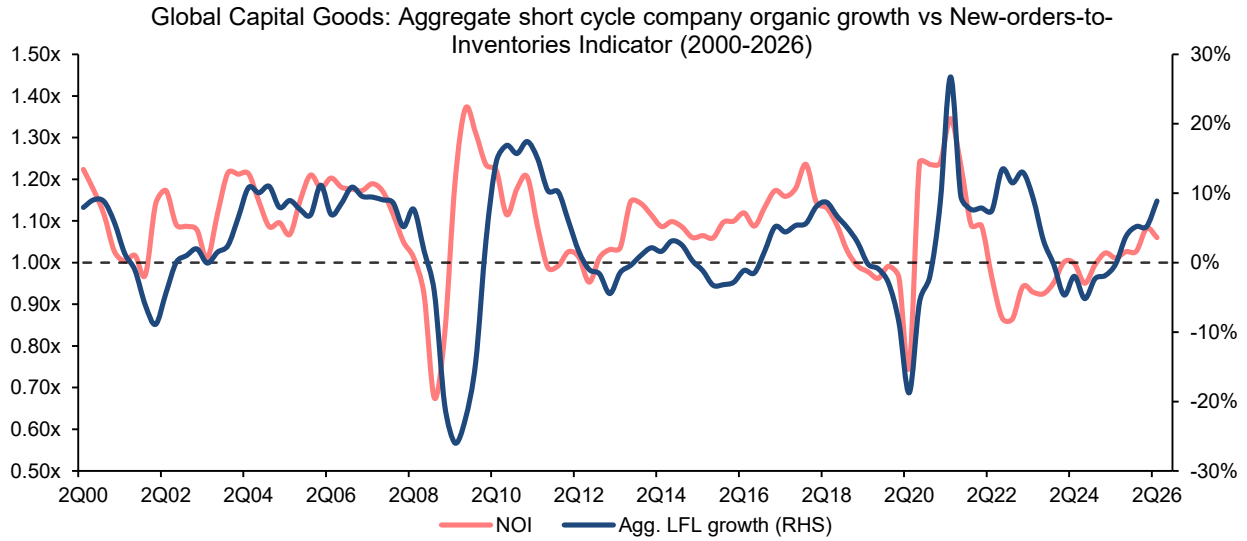
European Capital Goods: We rate Schneider (PT €350), Siemens (€330), Atlas Copco (SEK 240) and Rexel (€44) Outperform; and we rate ABB (CHF 80) a Market-Perform. We highlight Siemens DI business and Atlas Copco's CT and IT divisions as the key beneficiaries of the ongoing improvement in industrial trends.

Mid-Cap European Capital Goods: We rate Andritz (PT €104) and Deutz (€12.40) Outperform; and we rate GEA (€69), Krones (€111) and Bilfinger (€62) a Market-Perform.

DETAILS

SHORT CYCLE INDICATOR AND PMI TRENDS

EXHIBIT 1: **Companies or divisions with strong short cycle exposure track well against the NOI historically**



Source: ISM, S&P Global, Bernstein analysis

EXHIBIT 2: **Global Manufacturing PMIs: New Orders, Inventories and NOI by Region**

Global Manufacturing PMIs: New Orders, Inventories and NOI by Region

Month	European Union			US (ISM)			China (RatingDog)			China (Govt)			Germany			France			UK			Spain			Italy		
	New Orders	Finished Goods Inv.	NOI	New Orders	Finished Goods Inv.	NOI	New Orders	Finished Goods Inv.	NOI	New Orders	Finished Goods Inv.	NOI	New Orders	Finished Goods Inv.	NOI	New Orders	Finished Goods Inv.	NOI	New Orders	Finished Goods Inv.	NOI	New Orders	Finished Goods Inv.	NOI	New Orders	Finished Goods Inv.	NOI
Sep-26	**52.2**	**49.5**	**1.05**	55.3	48.6	**1.14**	53.4	51	**1.05**	50.5	47.6	**1.06**	**54.4**	**49.7**	**1.09**	**48.3**	**46.9**	**1.03**	**51.2**	**48**	**1.07**	**49.7**	**49.5**	**1.00**	**49.4**	**50.7**	**0.97**
Aug-26	51.7	48.4	1.07	53.7	50.6	1.06	52	51.3	1.01	50.6	48.4	1.05	55.5	47.4	1.17	47.3	46.8	1.01	50.6	49.4	1.02	48.5	47	1.03	46.4	50.5	0.92
Jul-26	50.6	48.5	1.04	56.7	51.2	1.11	50.9	49.7	1.02	48.5	48.6	1.00	52.1	47.7	1.09	47.1	49.4	0.95	52.3	49.2	1.06	48.8	48.8	1.00	49	49.4	0.99
Jun-26	49.9	49	1.02	56	51.4	1.09	52.7	50.2	1.05	51.2	47.7	1.07	50.5	47.6	1.06	48	49.4	0.97	50.6	49.7	1.02	45.9	50.7	0.91	50.6	48.6	1.04
May-26	49.8	48.4	1.03	56.8	49.9	1.14	52.5	50.6	1.04	49.9	49.3	1.01	48.9	47.2	1.04	46.9	47.9	0.98	52.7	50.3	1.05	48	48.5	0.99	51.2	49.1	1.04
Apr-26	51.1	48.5	1.05	54.1	49	1.10	53.4	50.1	1.07	50.6	47.5	1.07	51.4	47.9	1.07	53	51	1.04	52.8	50.2	1.05	50.3	46.3	1.09	49.1	47.4	1.04
Mar-26	50.7	47.4	1.07	53.5	47.1	1.14	51.1	49.4	1.03	51.6	46.7	1.10	53.4	44.9	1.19	46.9	47.4	0.99	51.7	47.7	1.08	45.6	49.2	0.93	50.4	49.5	1.02
Feb-26	50.4	48.4	1.04	55.8	48.8	1.14	53.5	50	1.07	48.6	45.8	1.06	52.3	47.4	1.10	48.7	50.8	0.96	52.5	49.3	1.06	48.7	49.9	0.98	50.8	49.2	1.03
Jan-26	49	47.3	1.04	57.1	47.6	1.20	50.2	49.4	1.02	49.2	48.6	1.01	50.4	44.5	1.13	49	49.5	0.99	53.2	49.3	1.08	47.2	47.1	1.00	47.4	49.8	0.95
Dec-25	47.6	48.4	0.98	47.4	45.7	1.04	50.3	49.3	1.02	50.8	48.2	1.05	46	47.8	0.96	48.7	46.6	1.05	50.2	51.5	0.97	48.2	46.7	1.03	47	52.1	0.90
Nov-25	49.2	46.1	1.07	47.3	48.5	0.98	50.1	47.8	1.05	49.2	47.3	1.04	47.3	44.9	1.05	47	43.4	1.08	50	47.7	1.05	51.7	47.8	1.08	51.6	49	1.05
Oct-25	49.7	47.5	1.05	48.7	46.7	1.04	50.5	50.7	1.00	48.8	48.1	1.01	50.2	46.6	1.08	46.4	46	1.01	47.4	51.1	0.93	52.6	48.1	1.09	49.7	50.1	0.99
Sep-25	49.1	47.8	1.03	48.7	47.8	1.02	52.3	51.3	1.02	49.7	48.2	1.03	49.3	49.7	0.99	45.9	44.7	1.03	43.8	51.4	0.85	52.3	48.8	1.07	47.6	48.5	0.98
Aug-25	50.5	47.3	1.07	51.1	49.1	1.04	50.7	50.7	1.00	49.5	46.8	1.06	51.6	45.7	1.13	47.6	46.6	1.02	43.9	47.7	0.92	54.8	48.4	1.13	50.2	49.4	1.02
Jul-25	49	48.5	1.01	47.5	48.9	0.97	50.1	49.1	1.02	49.4	47.4	1.04	50.3	45.9	1.10	42.6	51.8	0.82	47.8	47.3	1.01	51.6	48.7	1.06	49.5	51.4	0.96
Jun-25	49.5	48.2	1.03	46.9	49	0.96	50.2	49.8	1.01	50.2	48.1	1.04	51.7	47.4	1.09	45.5	46.4	0.98	48.2	44.8	1.08	50.4	49.6	1.02	47.2	50.7	0.93
May-25	49.4	48.2	1.02	48.3	46.6	1.04	47.4	50.3	0.94	49.8	46.5	1.07	49.2	48.4	1.02	49	46.5	1.05	44.8	45.6	0.98	48.9	49.2	0.99	49.8	49.3	1.01
Apr-25	49.5	48.2	1.03	47.5	50.3	0.94	50.5	49.6	1.02	49.2	47.3	1.04	50.6	48.5	1.04	47.7	49	0.97	43.1	42.9	1.00	44.2	47.5	0.93	49.1	49	1.00
Mar-25	49.3	46.8	1.05	45.6	52.7	0.87	52.1	48.9	1.07	51.8	48	1.08	50.9	44.6	1.14	47	46.6	1.01	40.7	46.6	0.87	47.8	48	1.00	44.8	48.3	0.93
Feb-25	47.9	46.6	1.03	48.6	49.9	0.97	52.3	48.7	1.07	51.1	48.3	1.06	48.8	45.4	1.07	42.8	48	0.89	47.6	45.7	1.04	48.1	47.4	1.01	44.8	45	1.00
Jan-25	45.5	47.2	0.96	55.1	45.9	1.20	52.1	51.2	1.02	49.2	46.5	1.06	45	46.9	0.96	40.8	46.1	0.89	47.9	51.2	0.94	51.3	49.3	1.04	42.8	45.5	0.94
Dec-24	43.3	45.9	0.94	52.5	48.4	1.08	51.5	50.9	1.01	51	47.9	1.06	39.9	45	0.89	36.5	44.9	0.81	44	45.1	0.98	52.9	48.3	1.10	44.2	46.2	0.96
Nov-24	43.5	47.5	0.92	50.4	48.1	1.05	52.9	51.3	1.03	50.8	47.4	1.07	42.9	44.9	0.96	35.9	48.6	0.74	45.7	46.3	0.99	52.6	51.2	1.03	41.9	48.3	0.87
Oct-24	44.4	48.2	0.92	47.1	42.6	1.11	50.7	51.4	0.99	50.0	46.9	1.07	42.0	47.9	0.88	38.4	48.7	0.79	48.1	50.6	0.95	54.3	51.5	1.05	45.1	48.1	0.94

Updated as of: 08-Oct-2026

Source: China Federation of Logistics, S&P Global, Bloomberg L.P., Bernstein analysis

EXHIBIT 3: **Global Manufacturing PMIs: New Orders, Inventories and NOI by Region**

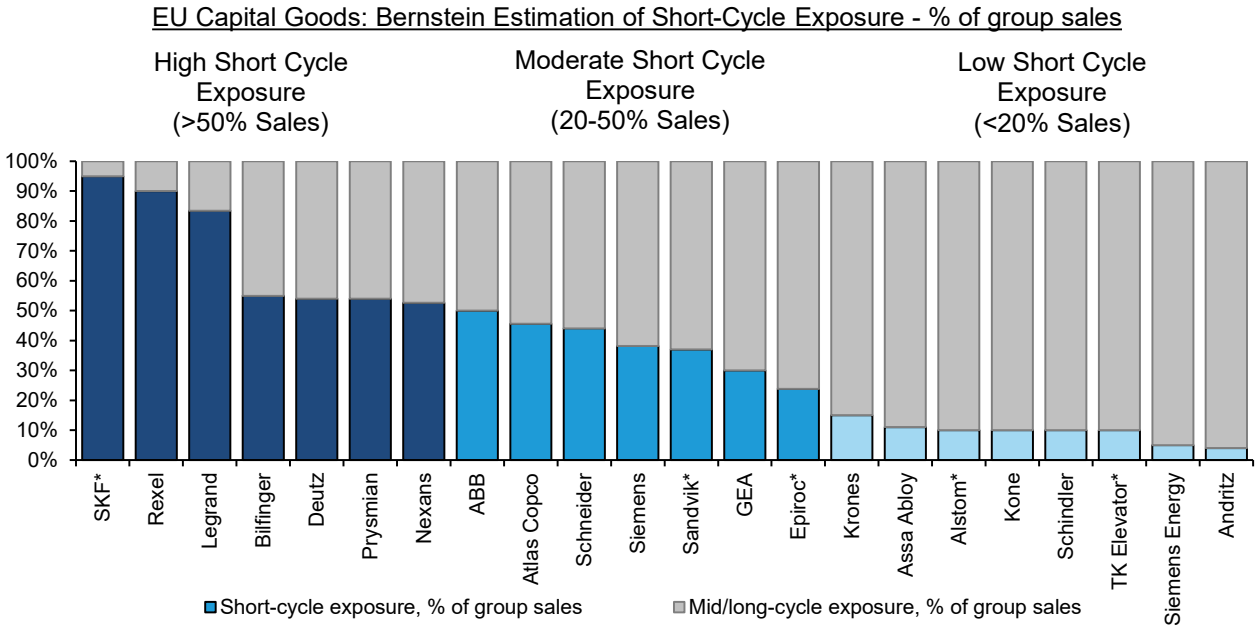
European Industry PMIs: New Orders, Inventories and NOI by End Market

Month	Basic Materials			Metals & Mining			Autos & Auto Parts			Food & Bev			Machinery & Equipment			Construction Materials			General Industrials			Technology Equipment			Chemicals		
	New Orders	Finished Goods Inv.	NOI	New Orders	Finished Goods Inv.	NOI	New Orders	Finished Goods Inv.	NOI	New Orders	Finished Goods Inv.	NOI	New Orders	Finished Goods Inv.	NOI	New Orders	Finished Goods Inv.	NOI	New Orders	Finished Goods Inv.	NOI	New Orders	Finished Goods Inv.	NOI	New Orders	Finished Goods Inv.	NOI
Sep-26	**49.8**	**49**	**1.02**	52.9	46.2	**1.15**	52.2	47.4	**1.10**	51.6	50.4	**1.02**	**55.3**	**50.9**	**1.09**	**50.1**	**51.5**	**0.97**	**50.9**	**50.1**	**1.02**	**55.8**	**47**	**1.19**	**49.8**	**50.3**	**0.99**
Aug-26	49.6	49.1	1.01	51.9	48.4	1.07	51	48.5	1.05	55.2	50.3	1.10	54.9	47.8	1.15	43.2	48.2	0.90	46.3	51.1	0.91	57.9	48.6	1.19	50.2	48.8	1.03
Jul-26	46.9	47	1.00	49	46.9	1.04	51.4	47.2	1.09	52.7	52.7	1.00	54.1	48.4	1.12	47.5	48.1	0.99	49.3	46.5	1.06	61.8	51.3	1.20	45.4	47.6	0.95
Jun-26	47.5	48	0.99	49.3	49.6	0.99	52.1	46.5	1.12	48.8	51.3	0.95	51.4	48.1	1.07	50.7	48.9	1.04	46.9	51.9	0.90	60.3	47.3	1.27	48	45.9	1.05
May-26	49	47.4	1.03	48.3	49.1	0.98	48.4	45.4	1.07	48	49.9	0.96	52.9	48.8	1.08	38.8	45.2	0.86	48.2	45.6	1.06	60.7	49.6	1.22	50.8	45.1	1.13
Apr-26	50.3	48.4	1.04	49.4	48.1	1.03	53.8	42.3	1.27	50.4	50.7	0.99	51.7	48.9	1.06	46.5	46.1	1.01	49.1	44.7	1.10	55.6	47.5	1.17	52.1	47.4	1.10
Mar-26	50.3	48.6	1.03	49.8	46.5	1.07	50.8	42.5	1.20	50.6	48.9	1.03	51.3	48.7	1.05	43.9	47.4	0.93	44.8	48.6	0.92	55.5	42.5	1.31	52.1	48.5	1.07
Feb-26	48	49	0.98	48	49.6	0.97	52.9	47.8	1.11	51.8	48	1.08	52.5	48.1	1.09	49.6	50.4	0.98	48.7	46.8	1.04	53.8	46.8	1.15	49.9	49.5	1.01
Jan-26	44.6	48.7	0.92	44.2	47.8	0.92	52.6	47	1.12	53.1	48	1.11	50.2	45	1.12	47.9	46.6	1.03	47.7	48.9	0.98	49.8	50.2	0.99	44.7	47.7	0.94
Dec-25	44.6	50.8	0.88	44.5	51	0.87	50.3	46.4	1.08	49.6	47.9	1.04	49	47	1.04	50.4	49.5	1.02	50.8	48.1	1.06	50.3	46.8	1.07	44.3	50.8	0.87
Nov-25	46.5	46.8	0.99	47	45.7	1.03	50	43.6	1.15	49.7	49	1.01	51.4	45.7	1.12	48.6	50.6	0.96	51.2	48.8	1.05	49.6	46.6	1.06	46.2	47.3	0.98
Oct-25	46.7	48.3	0.97	47.8	45.6	1.05	50.5	44.8	1.13	49.7	52	0.96	50.9	46.5	1.09	50.7	48.8	1.04	52.6	49.2	1.07	48.4	45.3	1.07	45.3	48	0.94
Sep-25	47.4	46.6	1.02	48.7	42.5	1.15	49.5	47.2	1.05	47.9	53.7	0.89	49.4	47.9	1.03	49.7	48.6	1.02	45.6	50.3	0.91	47.9	46.6	1.03	46.1	47.9	0.96
Aug-25	47.3	46.4	1.02	47.2	42.3	1.12	47.4	45.9	1.03	49.2	49.4	1.00	52.4	46	1.14	52.7	50.5	1.04	48.1	48.2	1.00	50.1	51.1	0.98	46.7	47.1	0.99
Jul-25	45.5	46.7	0.97	46	44.3	1.04	49.5	49.9	0.99	48.2	48.1	1.00	49.9	47	1.06	49.6	52.3	0.95	44	51.2	0.86	50.7	45.8	1.11	44	48.4	0.91
Jun-25	46.2	47.7	0.97	45.1	45.8	0.98	49	49.8	0.98	50.1	45.3	1.11	51.5	47.2	1.09	45.4	48.3	0.94	48.5	50.5	0.96	52	50.9	1.02	47.1	47.3	1.00
May-25	46.2	48	0.96	43.3	45.5	0.95	47.4	49.2	0.96	49.5	46.9	1.06	50.5	45.4	1.11	53.1	50.4	1.05	43	49.7	0.87	49	49.5	0.99	48.3	48.6	0.99
Apr-25	47.2	48.4	0.98	46.1	45.1	1.02	51.1	45.4	1.13	51.6	51.2	1.01	49.7	43.9	1.13	48.3	49.4	0.98	42	47	0.89	48.7	49.6	0.98	48.8	49.1	0.99
Mar-25	47.3	49.3	0.96	44.9	45.6	0.98	46.1	44.4	1.04	47.8	48.1	0.99	49.3	44.5	1.11	46.6	45.4	1.03	44.5	47.2	0.94	48.2	46.1	1.05	48.4	50.2	0.96
Feb-25	46.7	49	0.95	44.9	48.7	0.92	49.3	47.6	1.04	49.7	49.5	1.00	46.9	42.1	1.11	50.1	47.5	1.05	45.5	46.5	0.98	45.8	47	0.97	47.3	49.2	0.96
Jan-25	42.2	48.7	0.87	37.5	48.6	0.77	40.4	46	0.88	53.3	49.7	1.07	45.4	45.4	1.00	49.2	49.2	1.00	43.9	45.4	0.97	41.1	49.9	0.82	42.9	48.7	0.88
Dec-24	40.1	45.9	0.87	34.7	45.7	0.76	36	43.9	0.82	51.4	50	1.03	42.7	44.8	0.95	47.3	47.9	0.99	46.5	44.8	1.04	42.5	45.8	0.93	40.7	44.8	0.91
Nov-24	43.1	49.2	0.88	39.8	48.6	0.82	35.3	42.1	0.84	52.7	46.7	1.13	41.6	44.5	0.93	44.3	50.8	0.87	45.0	48.0	0.94	45.9	50.0	0.92	43.0	49.3	0.87
Oct-24	43.4	48.3	0.90	39.1	49.5	0.79	31.6	45.6	0.69	52.3	48.3	1.08	45.8	45.4	1.01	45.8	54.3	0.84	47.0	51.2	0.92	44.1	53.0	0.83	45.3	46.9	0.97

Updated as of: 08-Oct-2026

Source: China Federation of Logistics, S&P Global, Bloomberg L.P., Bernstein analysis

EXHIBIT 4: **Short Cycle Exposure for European Industrials, % of group sales**

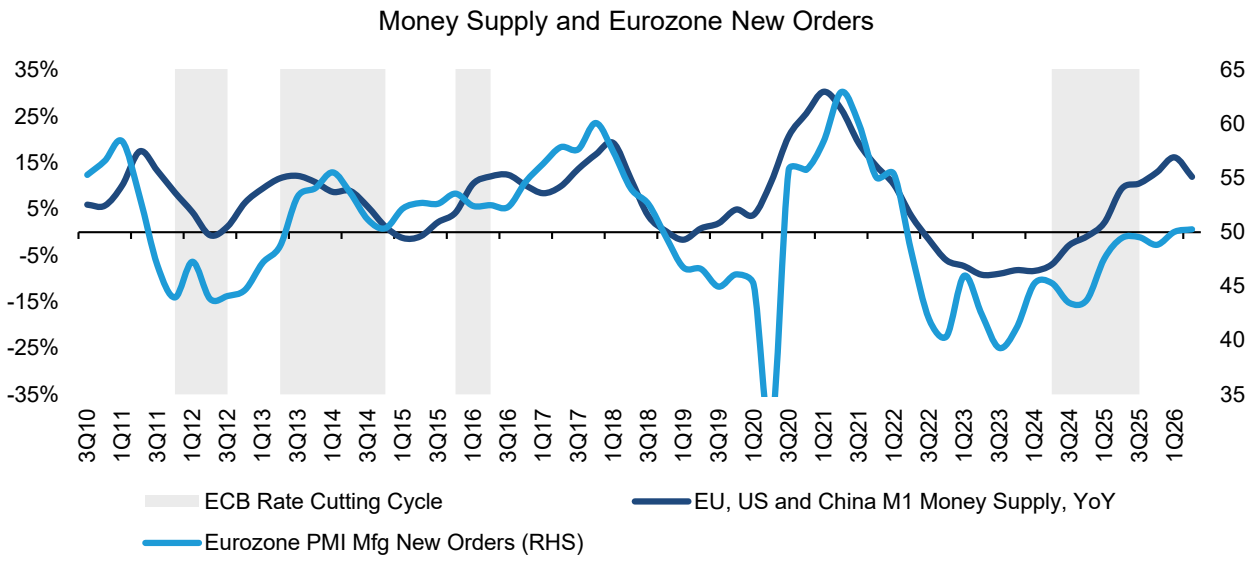


*Note: These figures have been **estimated** using analyst judgement for the classification of sales exposures, **figures are subject to change***

Companies with an asterisk are currently uncovered by Bernstein. Andritz, GEA and Krones are covered by Benjamin Thielmann. Bilfinger and Deutz are covered by Pal Skirta.

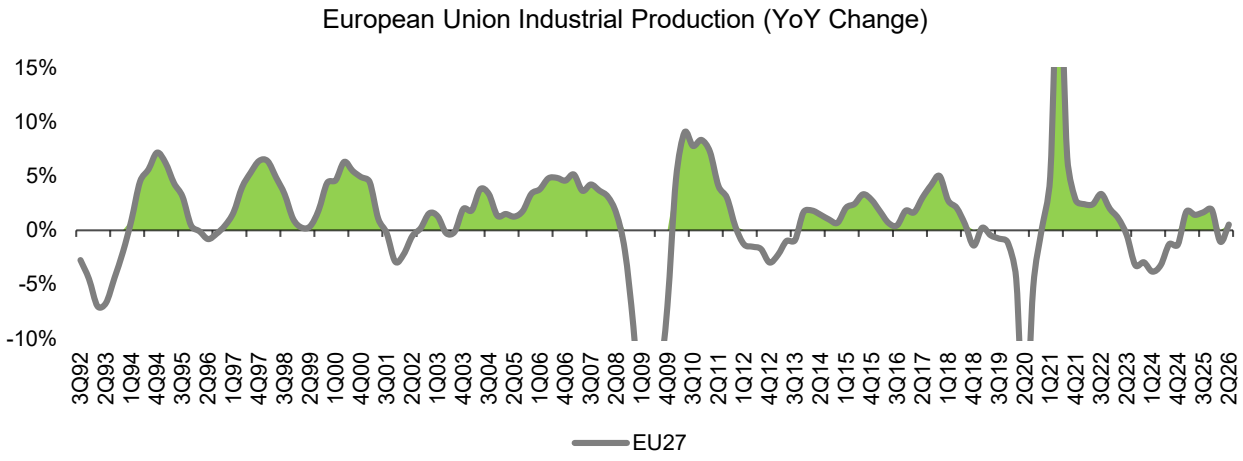
Source: Company filings, Bernstein estimates and analysis

EXHIBIT 5: **M1 Money Supply is still growing despite a deceleration, which remains consistent with growing manufacturing new order activity**



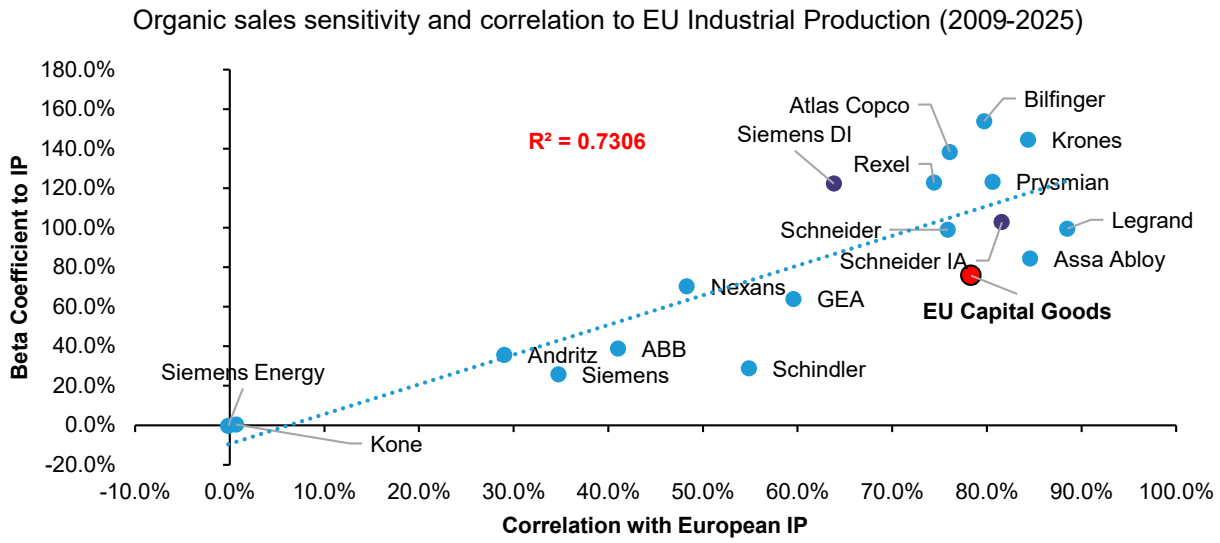
Source: ECB, Federal Reserve, S&P Global, Bloomberg L.P., Bernstein analysis

EXHIBIT 6: **Since the early 1990s, the EU has undergone six meaningful industrial production upcycles, each lasting more than four quarters and averaging ~14 quarters in duration.**



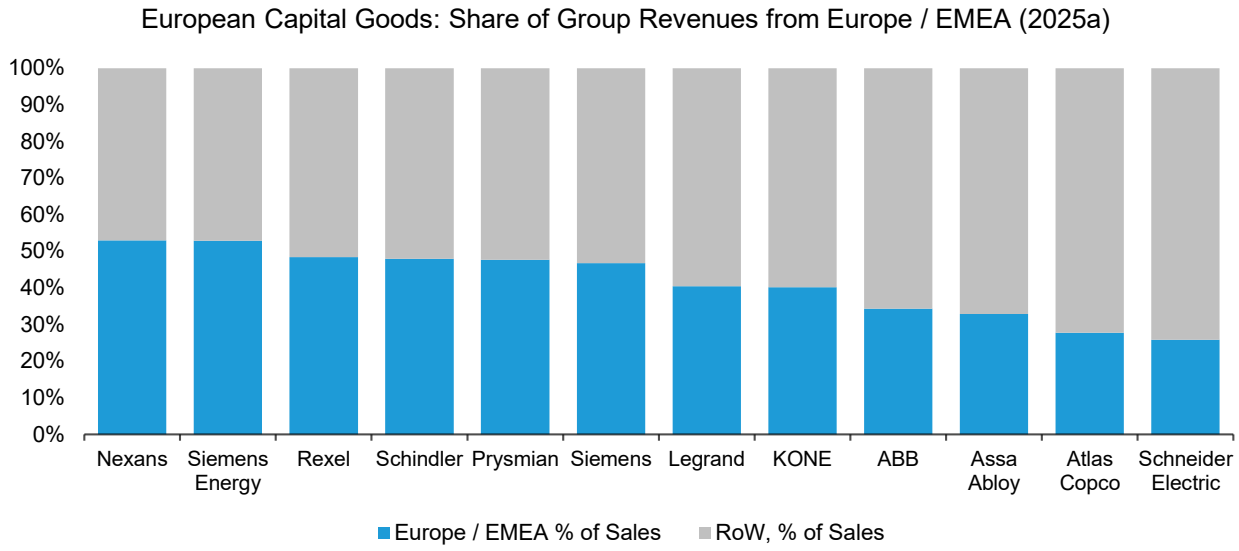
Source: Eurostat, Bernstein analysis

EXHIBIT 7: **Sensitivity and correlation of European Capital Goods company's organic sales growth with European IP**



GEA, Krones, and Andritz only report organic growth numbers for selected years. We calculated their organic growth rate based on our historical FX and M&A estimates.
Source: Eurostat, Company data, Bernstein estimates and analysis

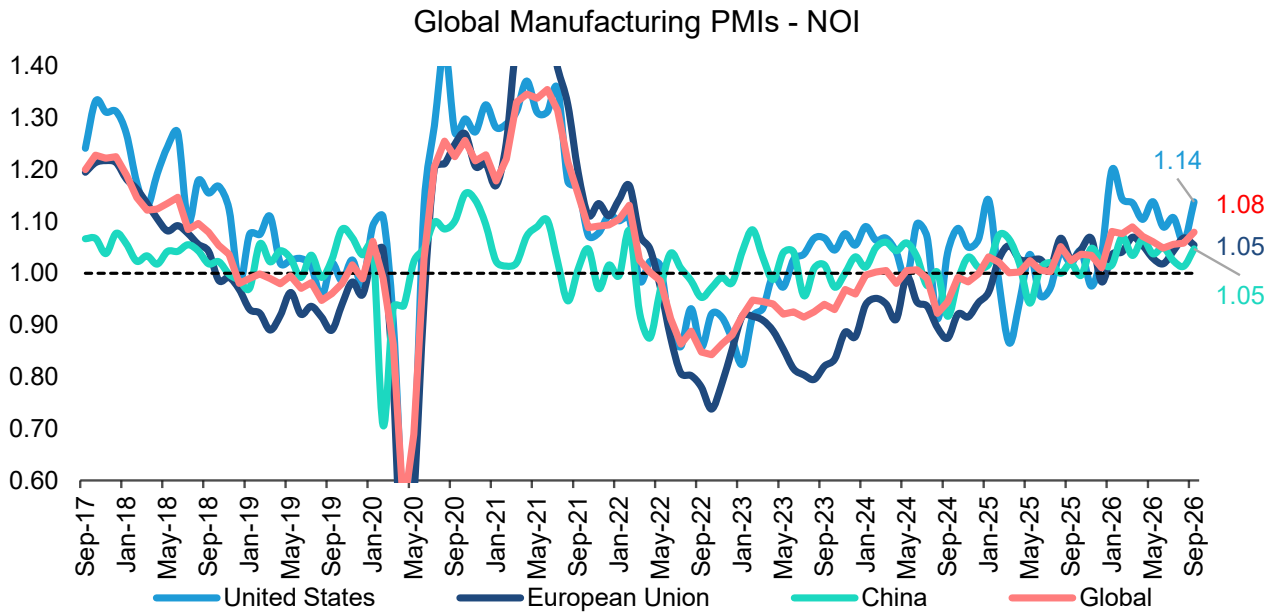
EXHIBIT 8: **Bernstein's EU Capital Goods Coverage by European Exposure**



Siemens AG and Siemens Energy only disclose revenues for Europe, C.I.S, Africa and the Middle East.
Source: Company reports, Bernstein analysis

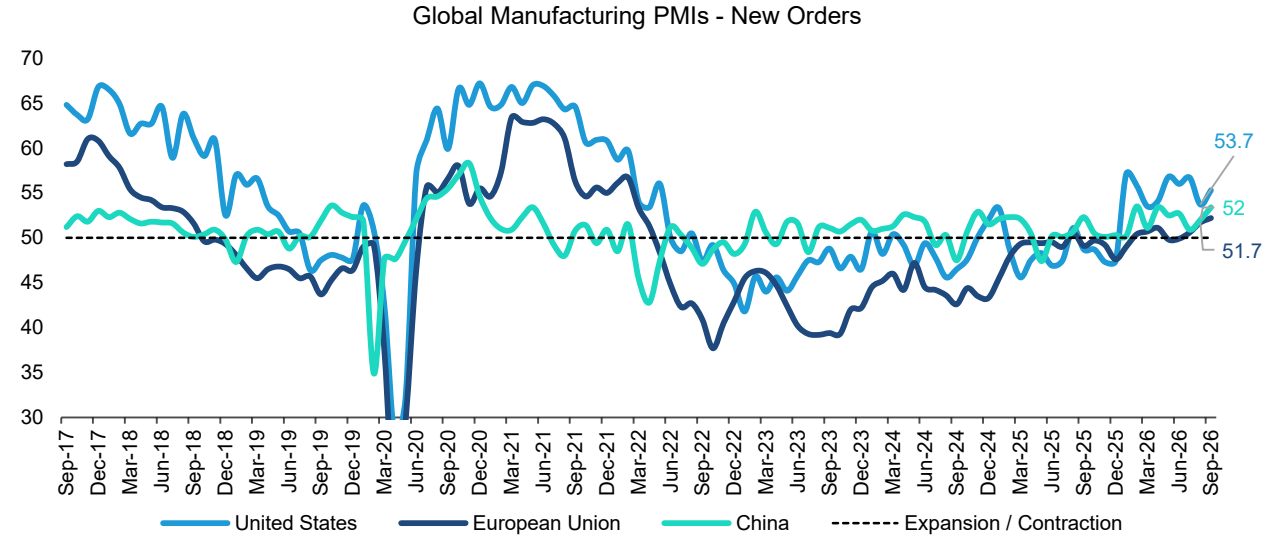
GLOBAL PMI INDICATORS

EXHIBIT 9: **Global Manufacturing PMIs - NOI**



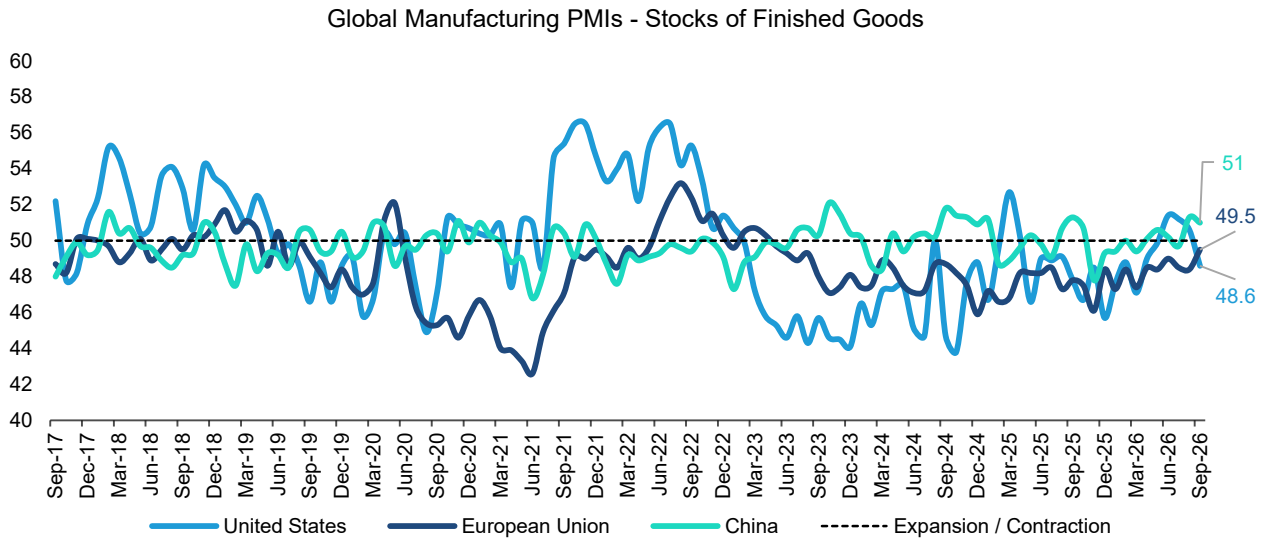
Source: ISM, S&P Global, Bloomberg L.P., Bernstein analysis

EXHIBIT 10: **Global Manufacturing PMIs - New Orders**



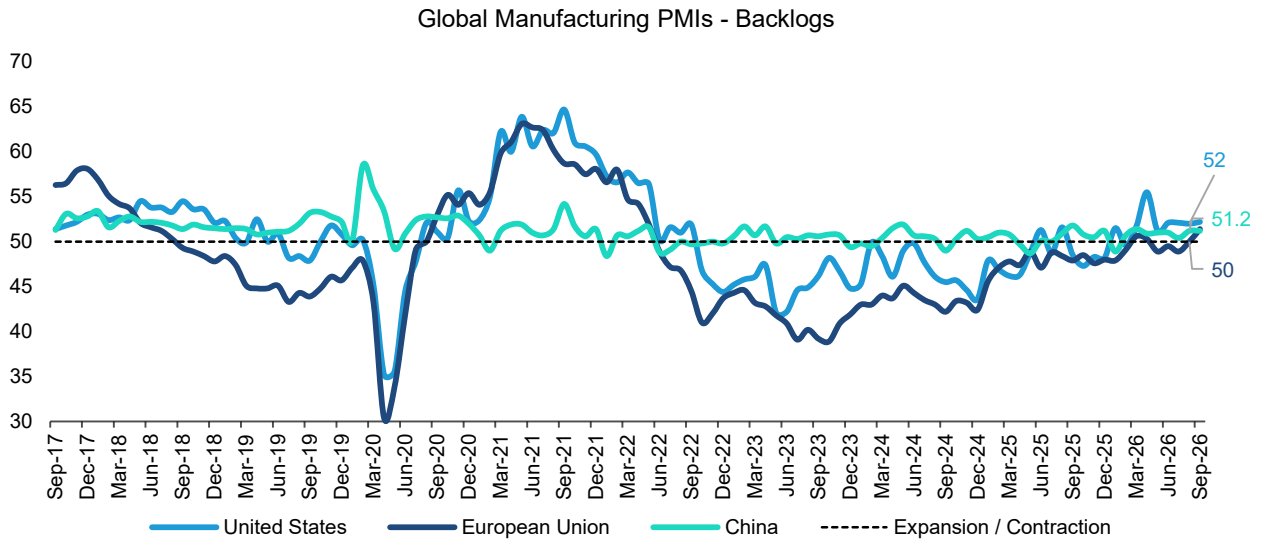
Source: ISM, S&P Global, Bloomberg L.P., Bernstein analysis

EXHIBIT 11: **Global Manufacturing PMIs - Stocks of Finished Goods**



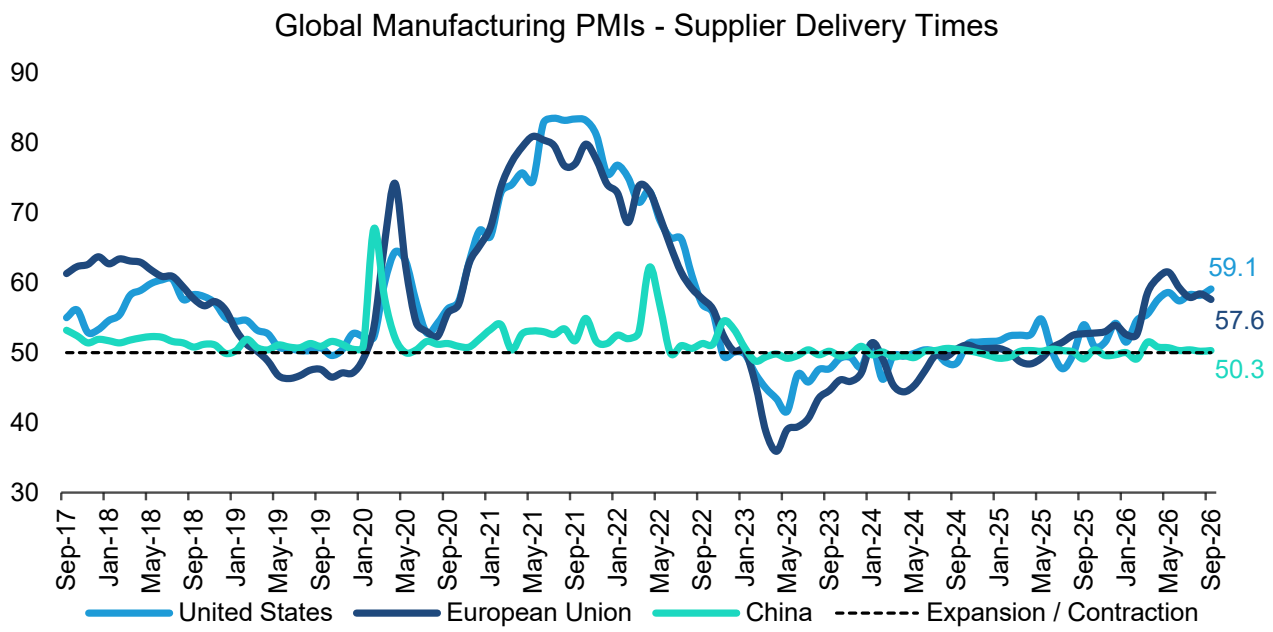
Source: ISM, S&P Global, Bloomberg L.P., Bernstein analysis

EXHIBIT 12: **Global Backlogs**



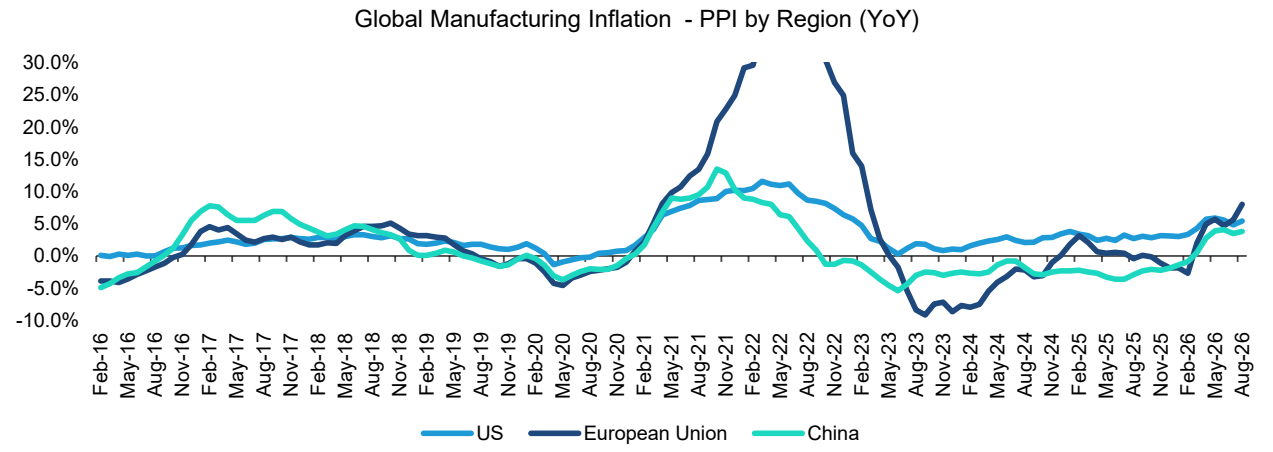
Source: ISM, S&P Global, Bloomberg L.P., Bernstein analysis

EXHIBIT 13: **Supplier Delivery Times across Major Regions**



Supplier delivery time scale is inverted, with readings above 50 indicating an expansion of delivery times and readings below indicating a contraction
Source: S&P Global, Bernstein analysis

EXHIBIT 14: **Global PPI by region**

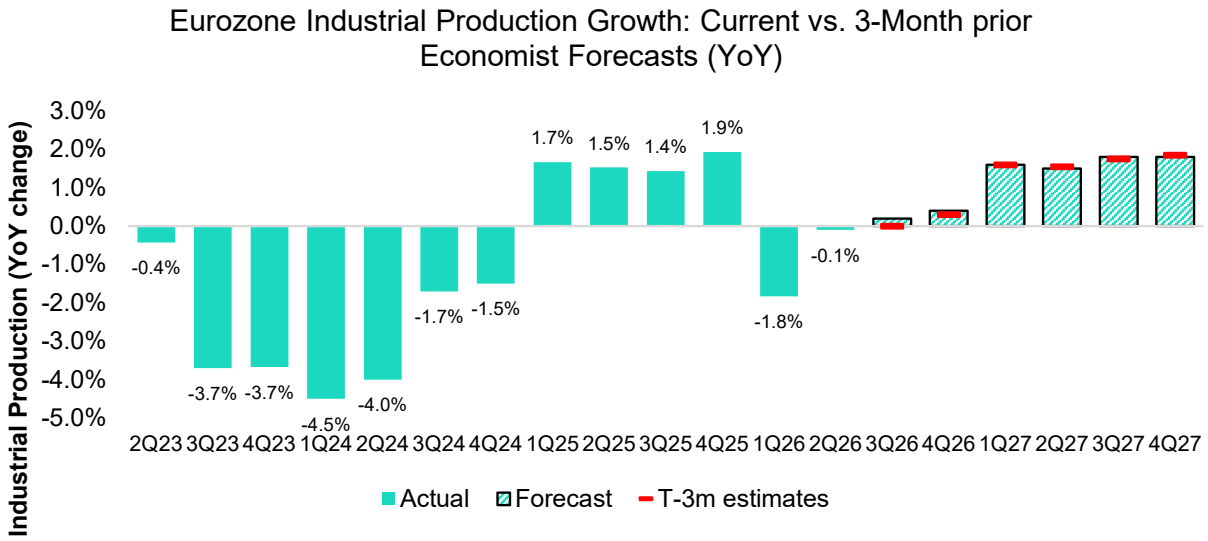


Source: Eurostat, BLS, NBS, Bloomberg L.P., Bernstein analysis

CONSENSUS ESTIMATES AND REVISIONS

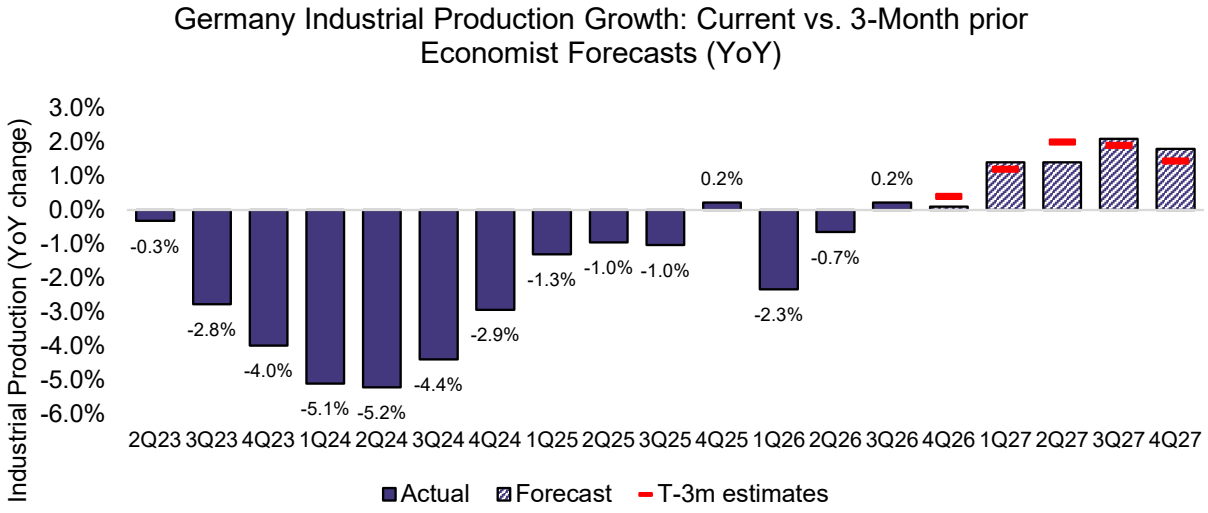
INDUSTRIAL PRODUCTION

EXHIBIT 15: **Eurozone Industrial Production Forecasts**



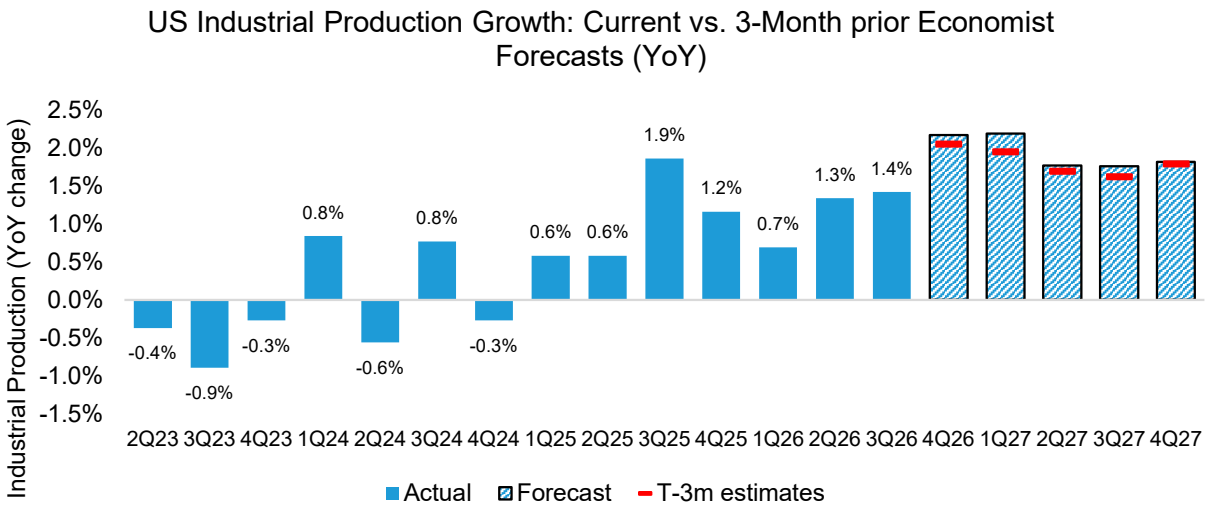
Source: Bloomberg L.P., Bernstein analysis

EXHIBIT 16: **Germany Industrial Production Forecasts**



Source: Bloomberg L.P., Bernstein analysis

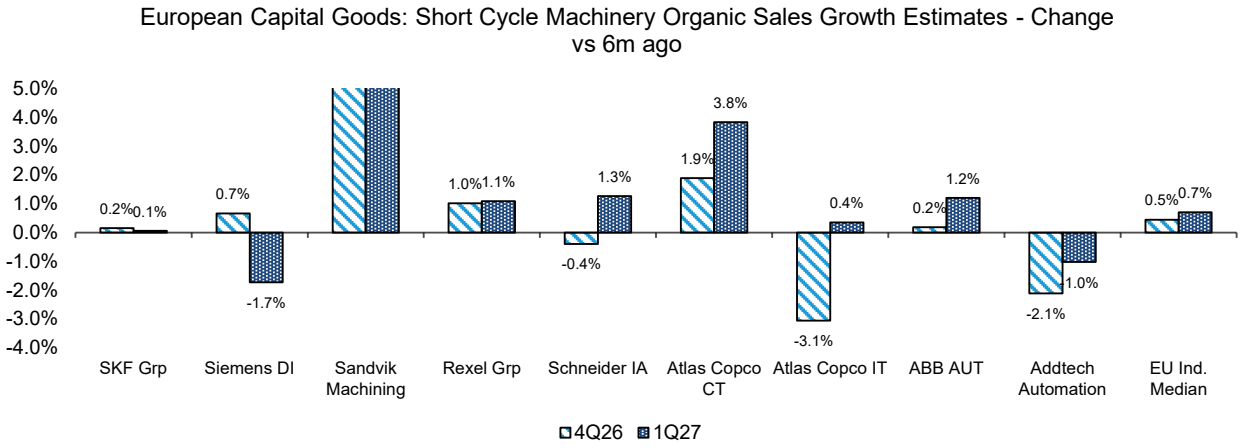
EXHIBIT 17: **US Industrial Production Forecasts**



Source: Bloomberg L.P., Bernstein analysis

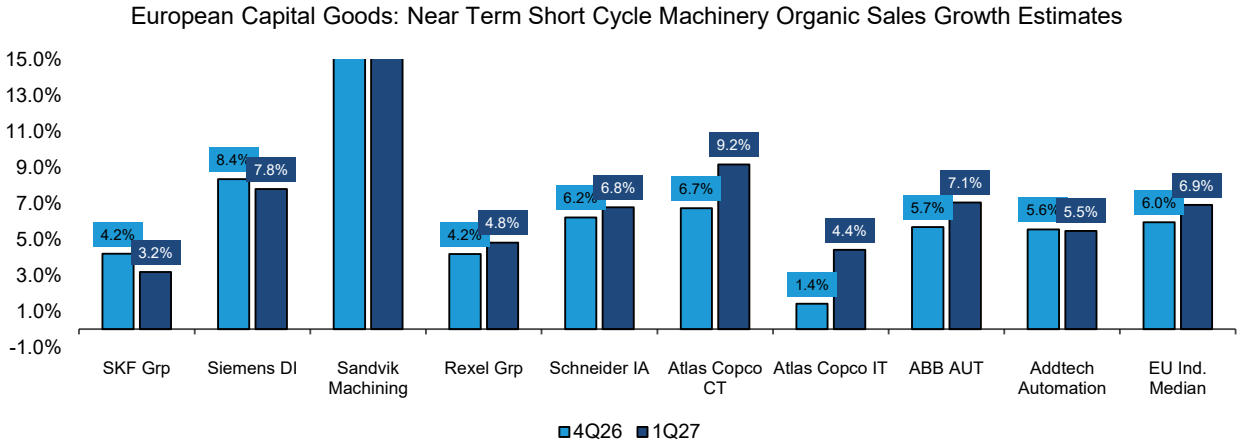
SHORT CYCLE INDUSTRIAL COMPANY GROWTH

EXHIBIT 18: **Near term organic sales growth estimates have been raised vs 6 months ago**



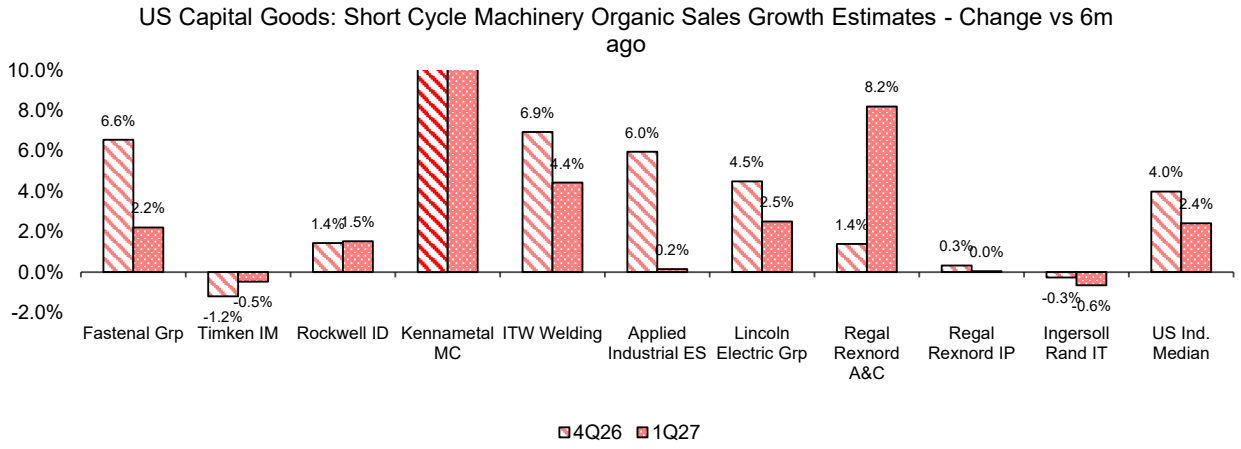
Source: Visible Alpha, Bernstein analysis

EXHIBIT 19: **Consensus estimates of short cycle revenue growth**



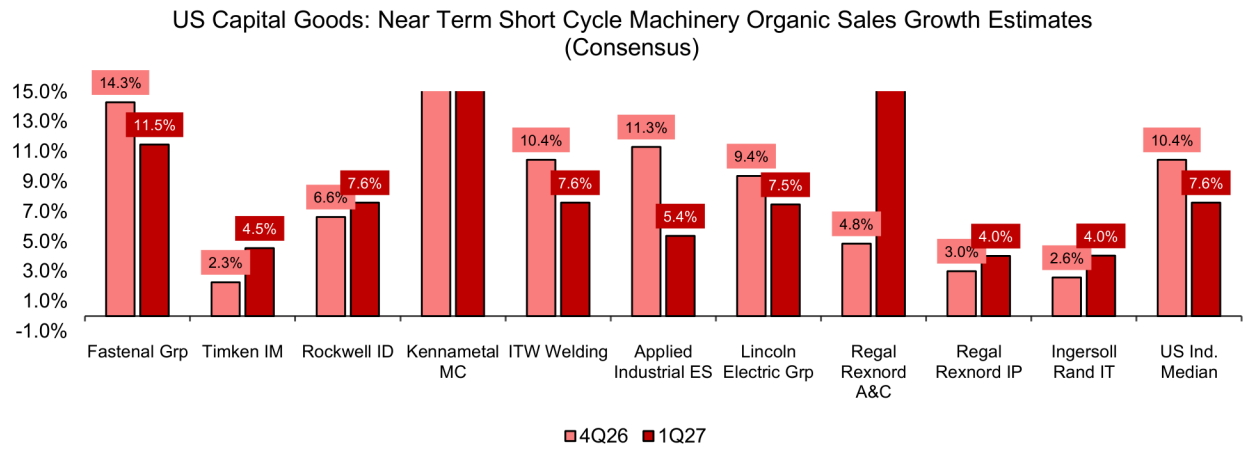
Source: Visible Alpha, Bernstein analysis

EXHIBIT 20: **US short cycle growth estimates have been broadly revised up in the last 6 months**



Source: Visible Alpha, Bernstein analysis

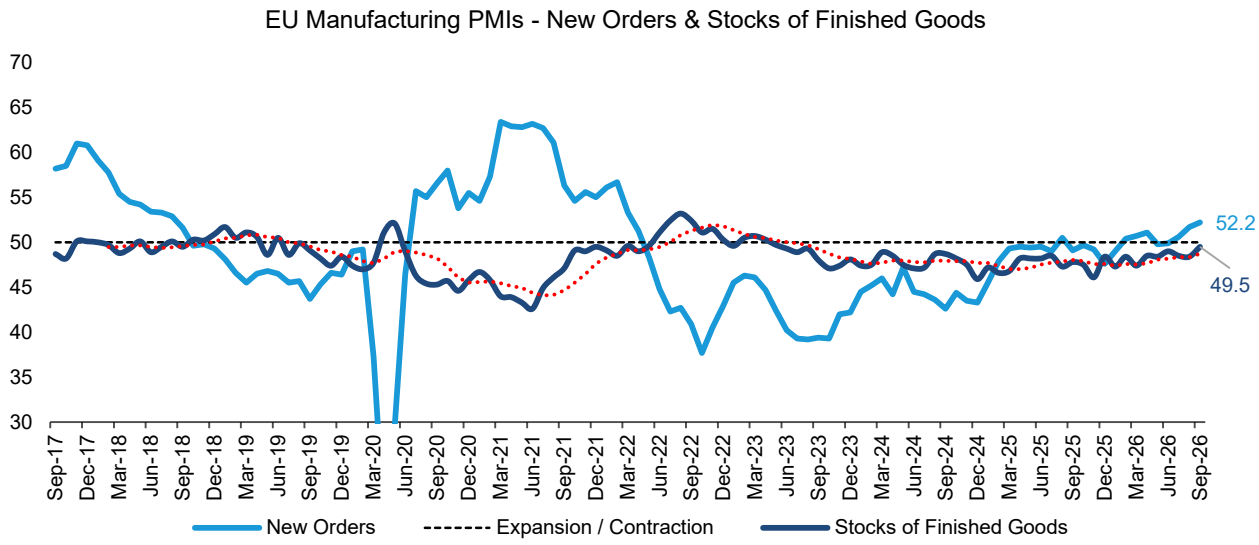
EXHIBIT 21: **US Short Cycle growth is looking strong**



Source: Visible Alpha, Bernstein analysis

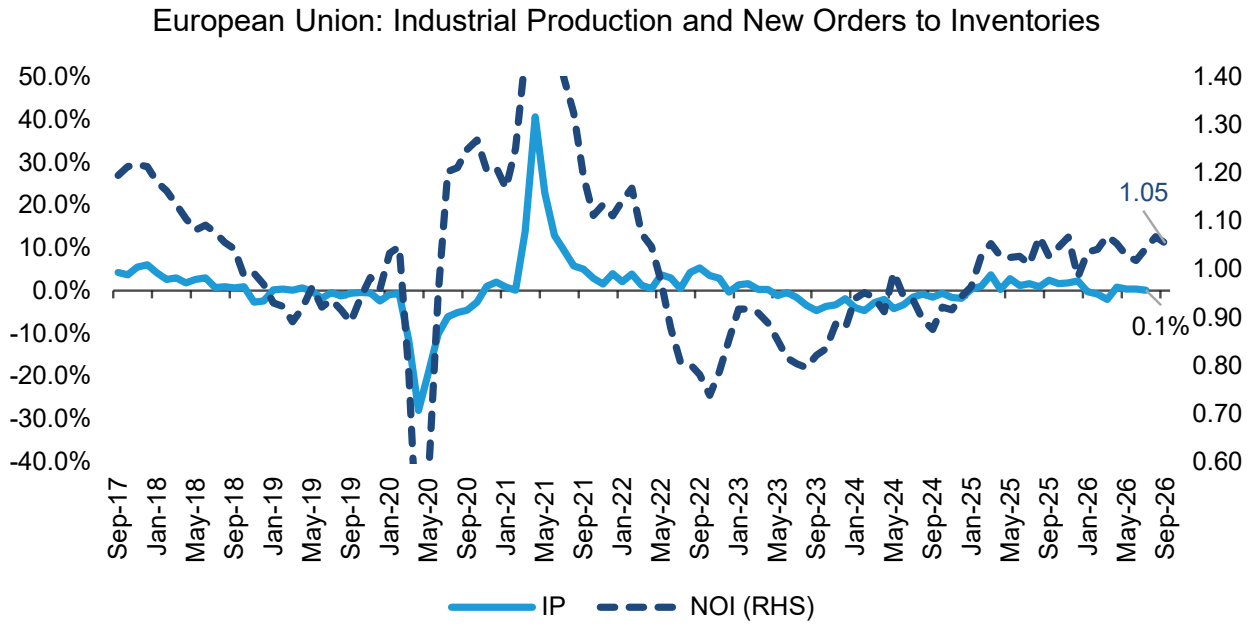
EUROPE

EXHIBIT 22: **EU Manufacturing PMIs - New Orders & Stocks of Finished Goods**



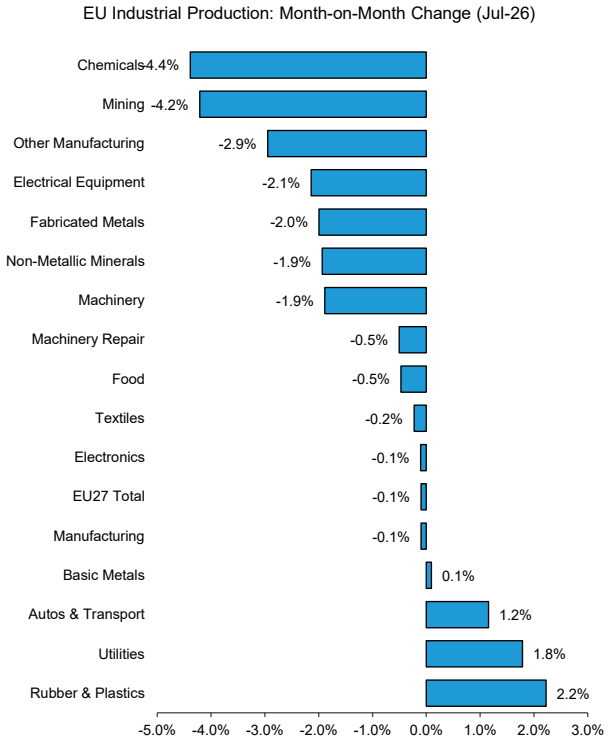
Source: ISM, S&P Global, Bloomberg L.P., Bernstein analysis

EXHIBIT 23: **Industrial Production & NOI**



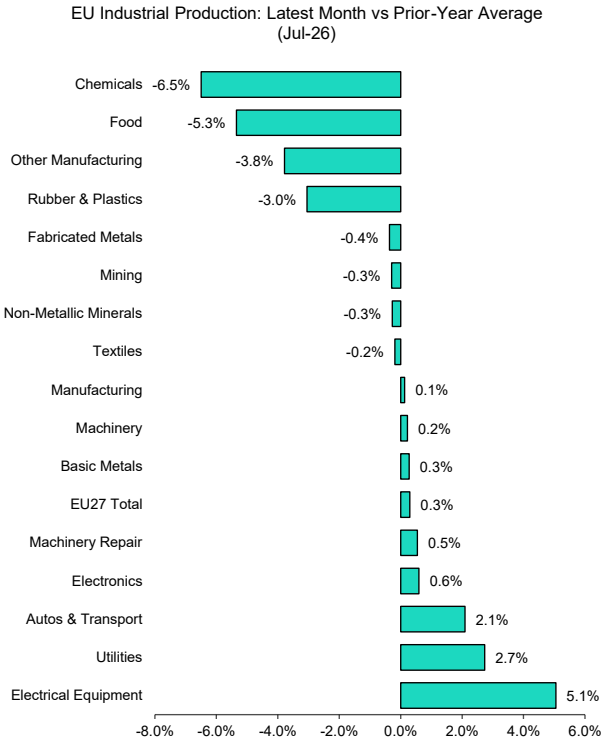
Source: Eurostat, S&P Global, Bernstein analysis

EXHIBIT 24: **A sector breakdown of the month on month change in EU industrial production**



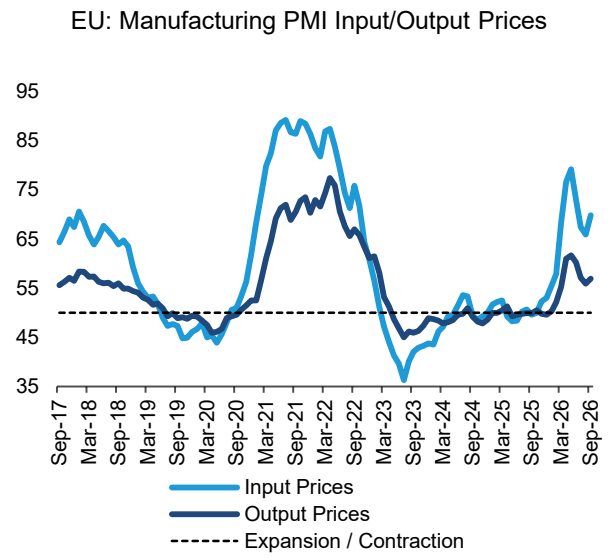
Source: Eurostat, Bernstein analysis

EXHIBIT 25: **EU Industrial Production drivers over the course of the year**



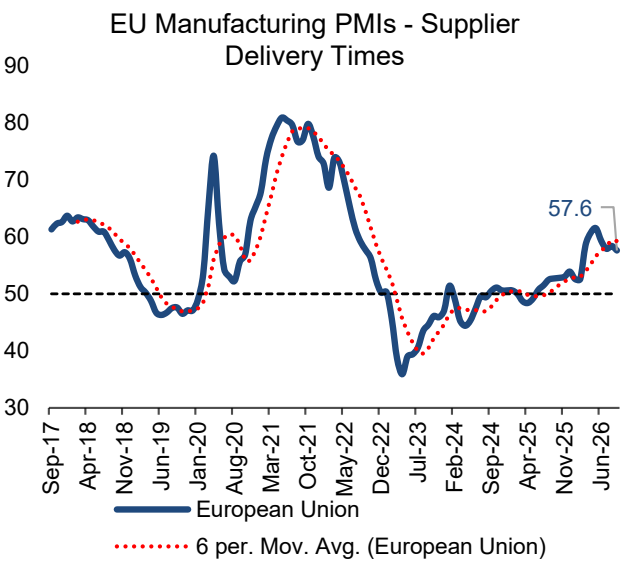
Source: Eurostat, Bernstein analysis

EXHIBIT 26: **European Manufacturing Input Prices vs Output Prices**



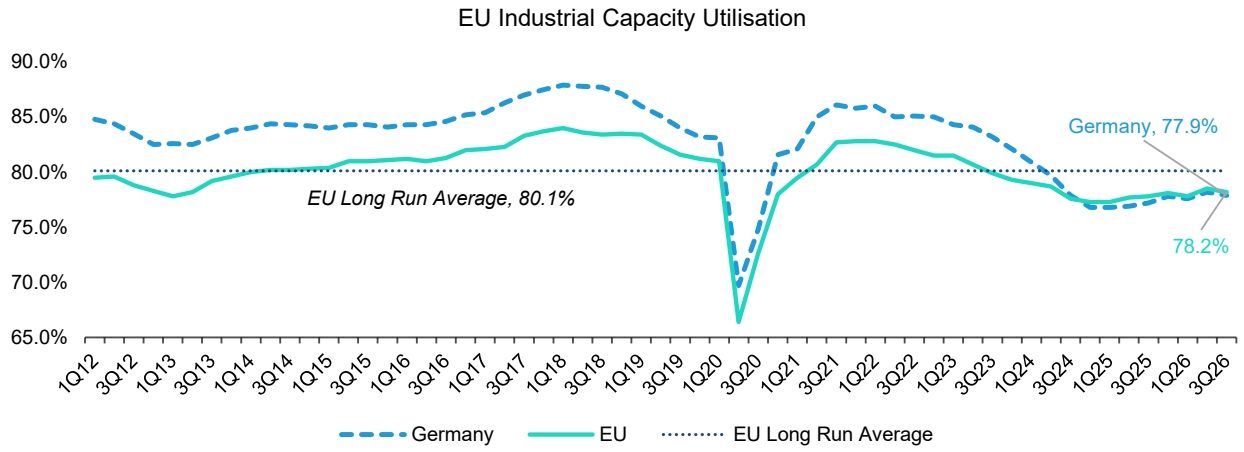
Source: S&P Global, Bernstein analysis

EXHIBIT 27: **European Manufacturing Supplier Delivery Times**



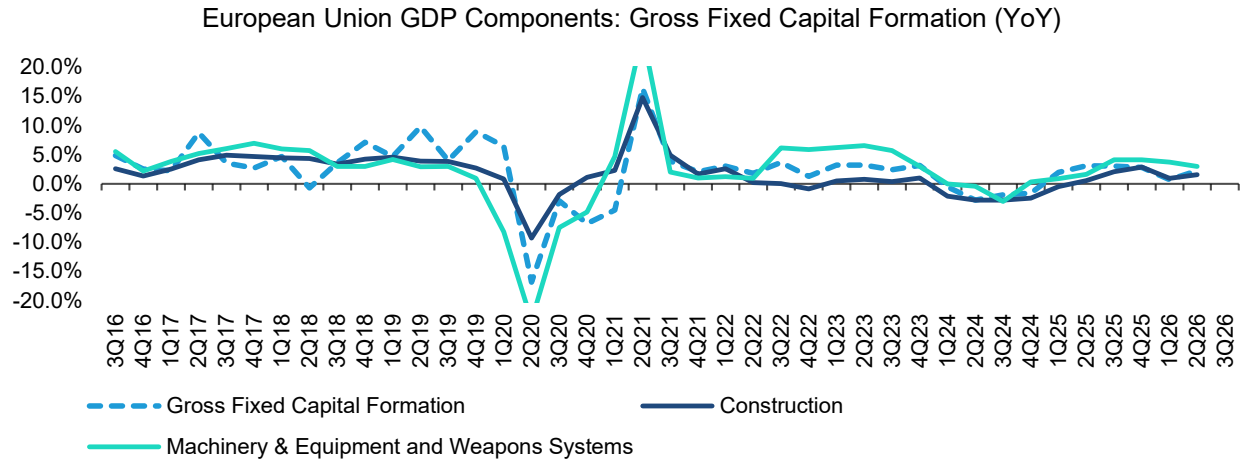
Supplier delivery time scale is inverted, with readings above 50 indicating an expansion of delivery times and readings below indicating a contraction
Source: S&P, Bloomberg L.P., Bernstein analysis

EXHIBIT 28: **European Capacity utilisation remains below the long run average**



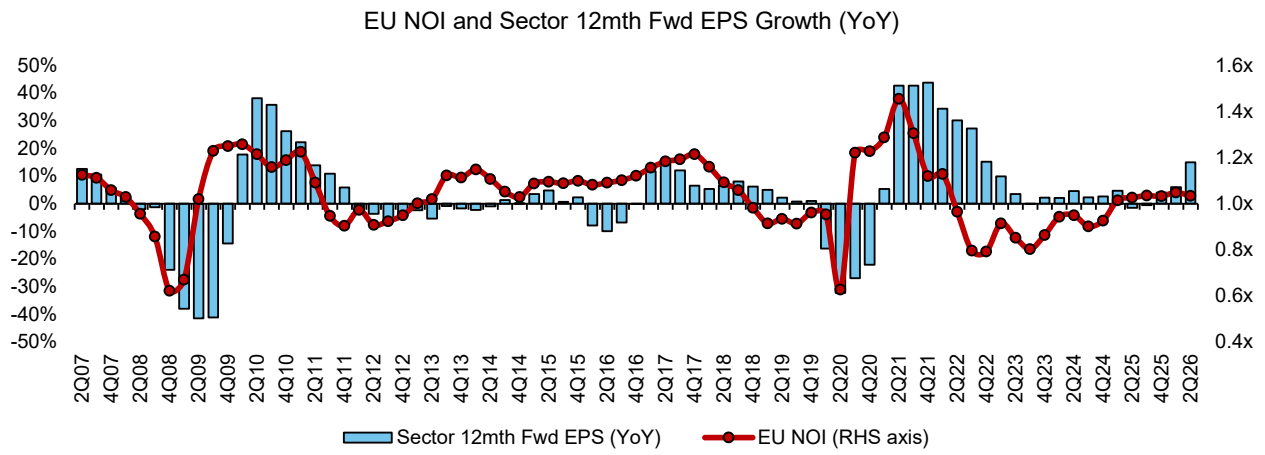
Source: European Commission, Bernstein analysis

EXHIBIT 29: **Gross Fixed investment in the European Union by component**



Source: Eurostat, Bloomberg L.P., Bernstein analysis

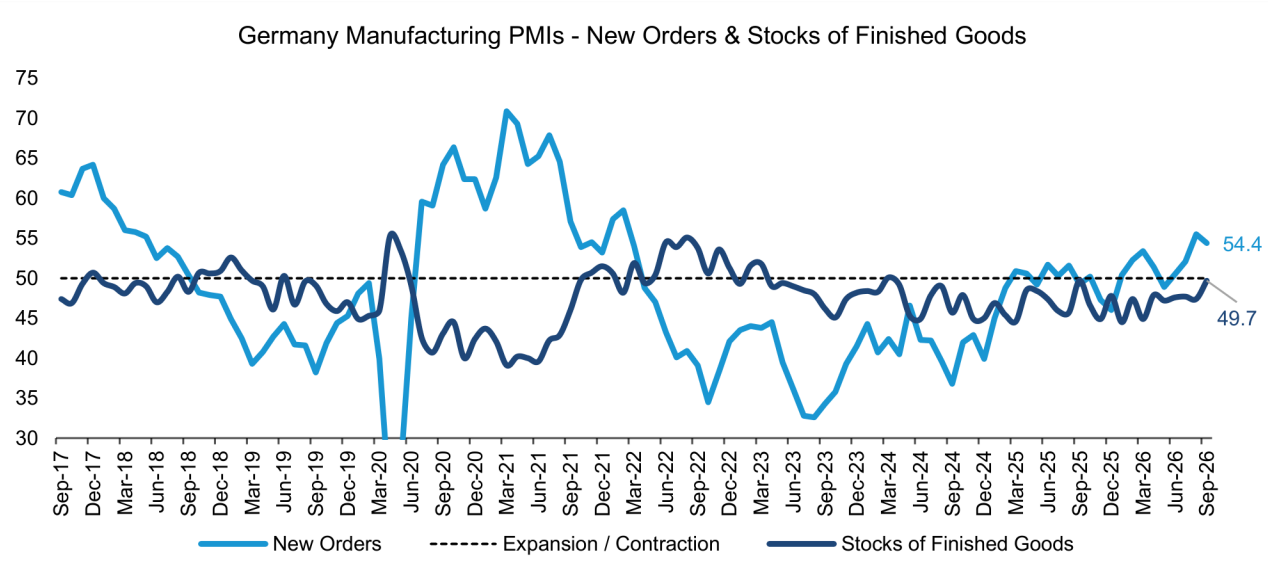
EXHIBIT 30: **The EU NOI generally leads 1 year forward earnings expectations for the EU Industrials sector by 2 quarters**



Source: Bloomberg L.P., Bernstein analysis

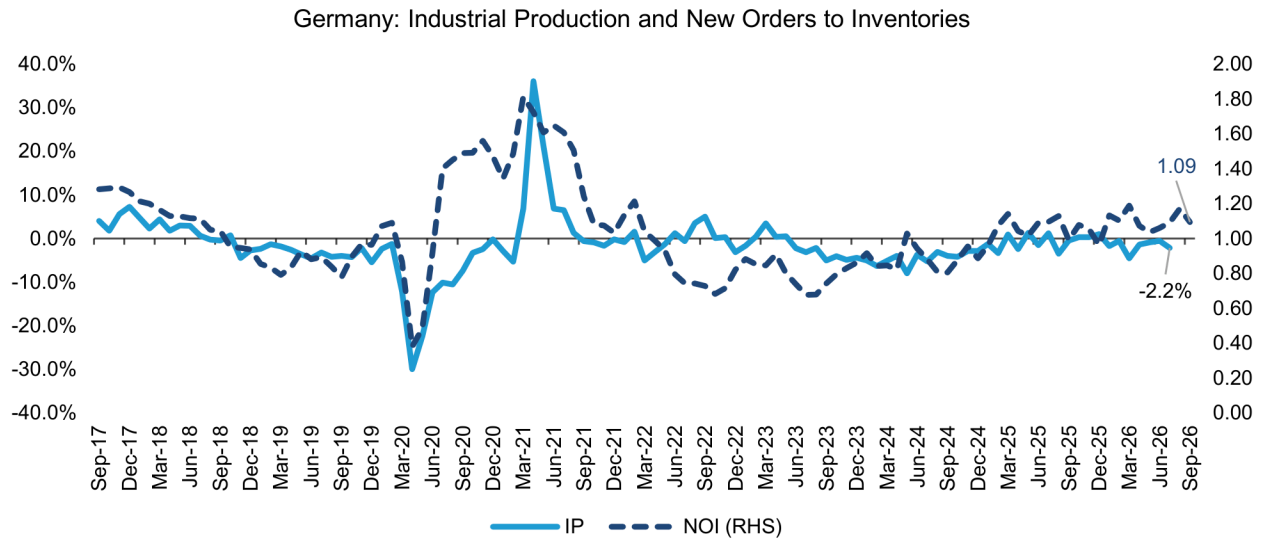
GERMANY

EXHIBIT 31: **Germany Manufacturing PMI New Orders and Stocks of Finished Goods**



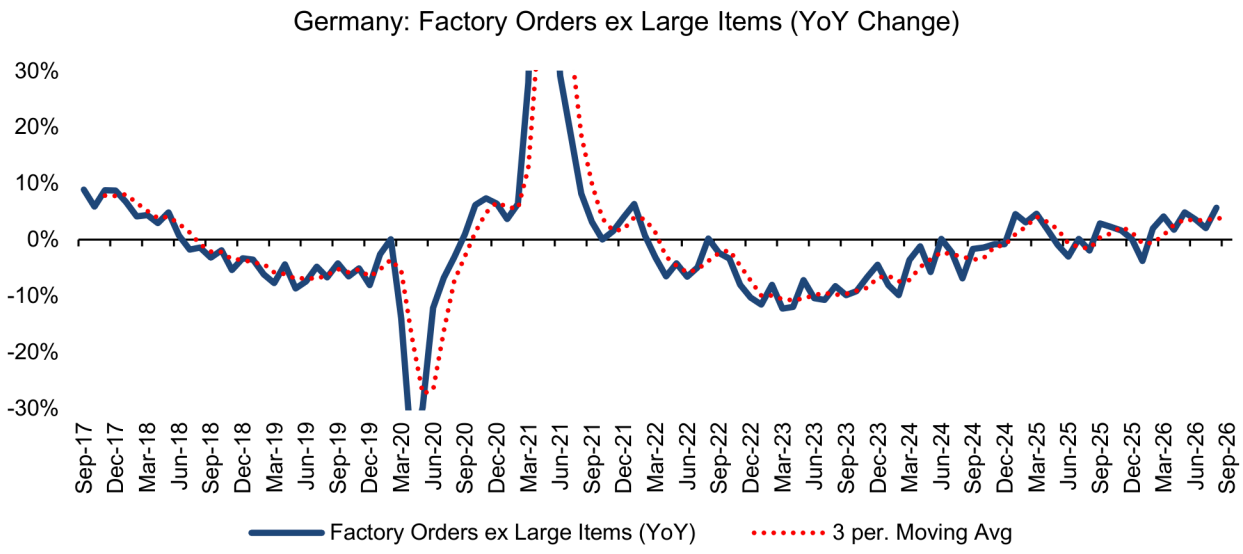
Source: S&P Global, Bernstein analysis

EXHIBIT 32: **Germany NOI and Industrial Production**



Source: Eurostat, S&P Global, Bernstein analysis

EXHIBIT 33: **Germany Factory Orders ex large items shows clearer underlying factory trends**



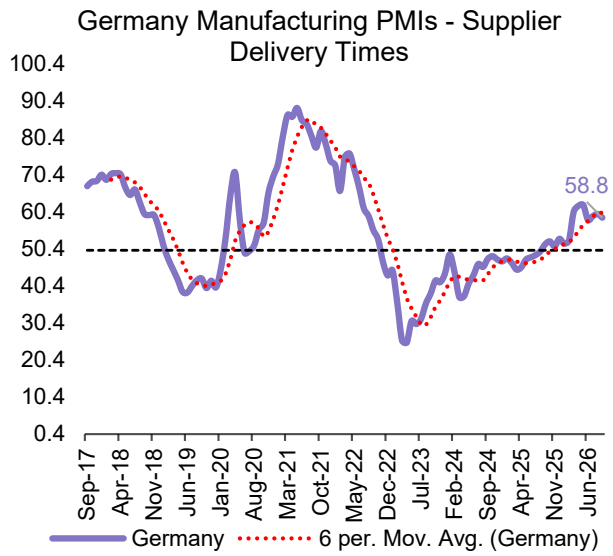
Source: Destatis, Bernstein analysis

EXHIBIT 34: **Business expectations for Germany based on 9,000 businesses surveyed**



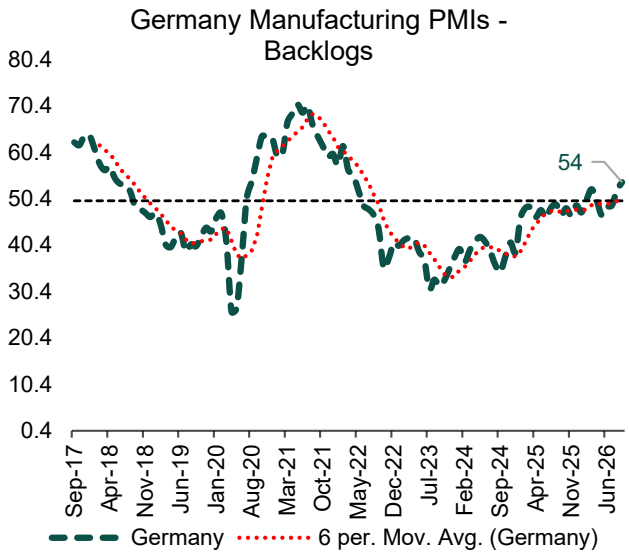
Source: IFO Institute, Bernstein analysis

EXHIBIT 35: **German Manufacturing Supplier Delivery Times**



Supplier delivery time scale is inverted, with readings above 50 indicating an expansion of delivery times and readings below indicating a contraction
Source: S&P Global, Bernstein analysis

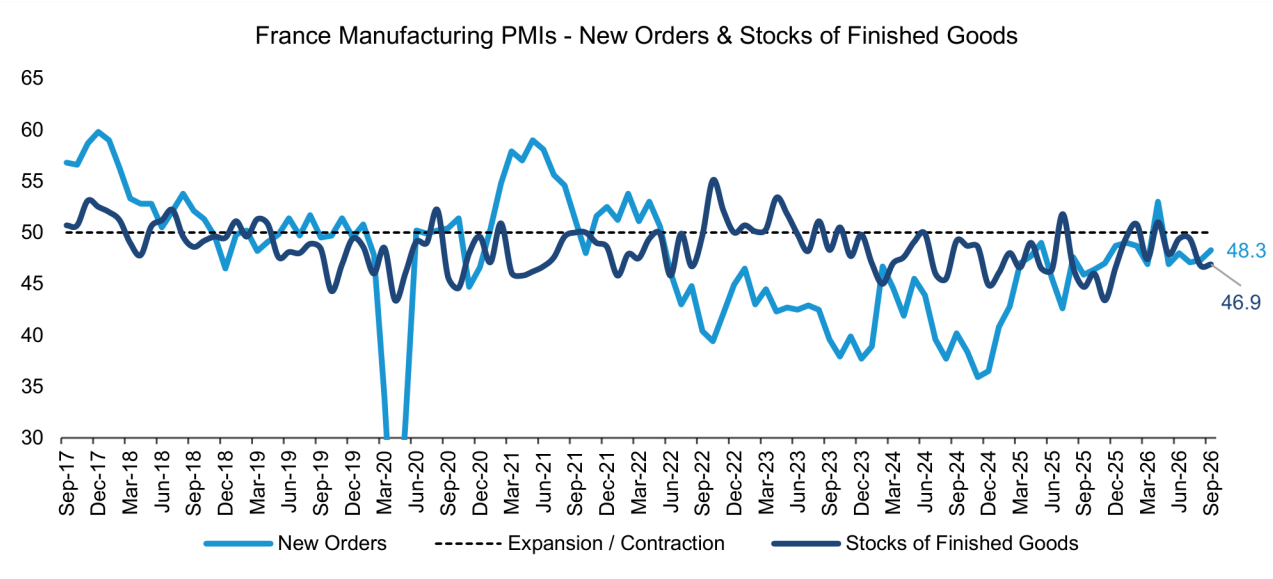
EXHIBIT 36: **German Manufacturing Backlogs**



Source: S&P Global, Bloomberg L.P., Bernstein analysis

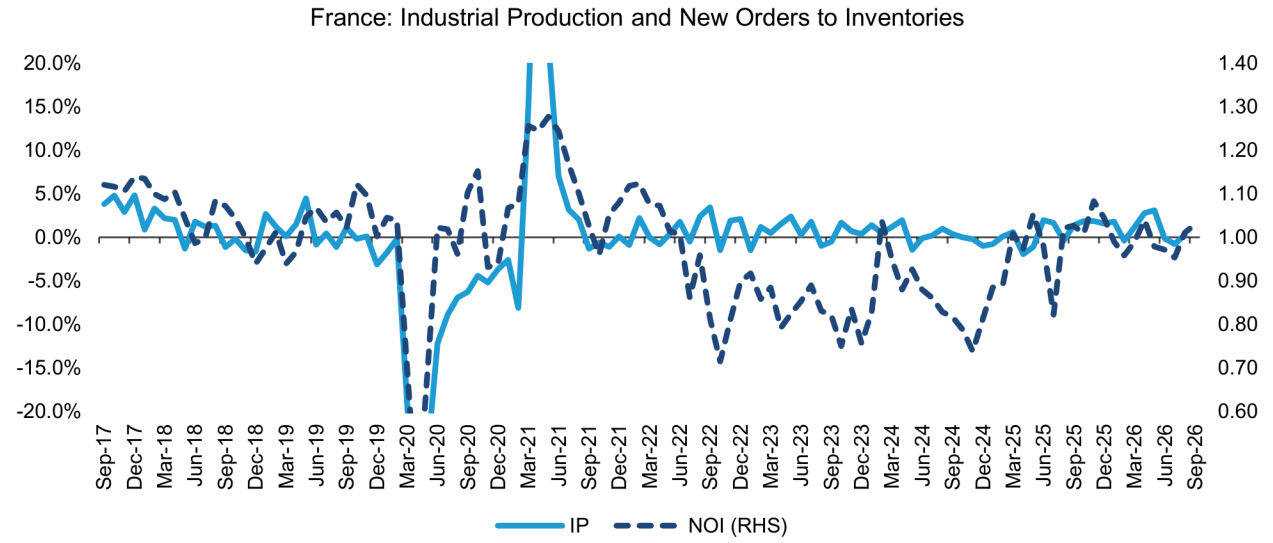
FRANCE

EXHIBIT 37: **France Manufacturing PMIs - New Orders & Stocks of Finished Goods**



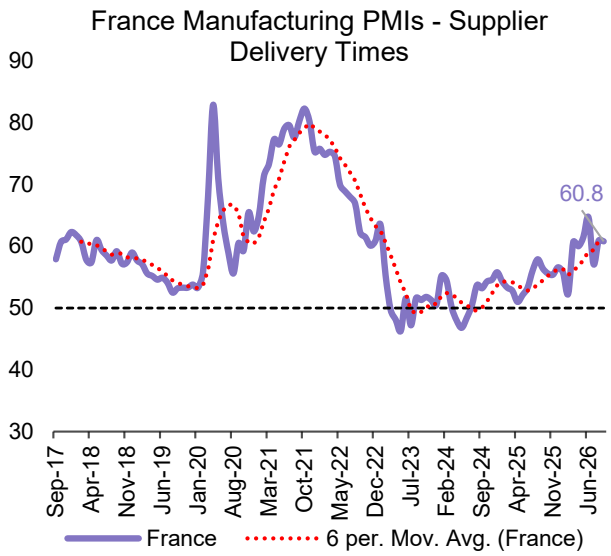
Source: S&P Global, Bernstein analysis

EXHIBIT 38: **France NOI and Industrial Production**



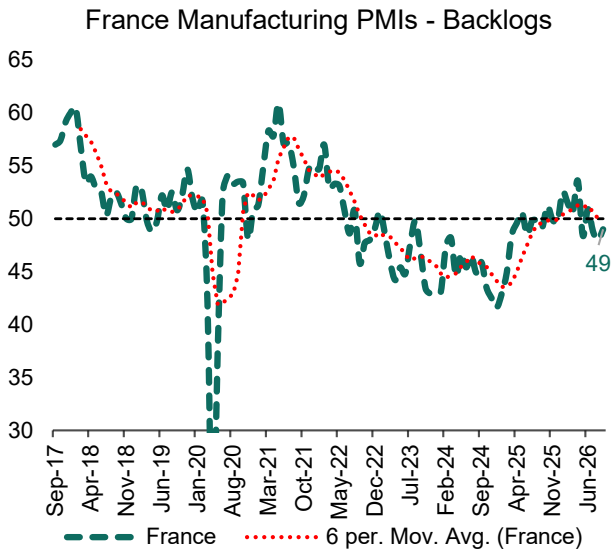
Source: Eurostat, S&P Global, Bernstein analysis

EXHIBIT 39: **France Manufacturing Supplier Delivery Times**



Source: S&P Global, Bernstein analysis

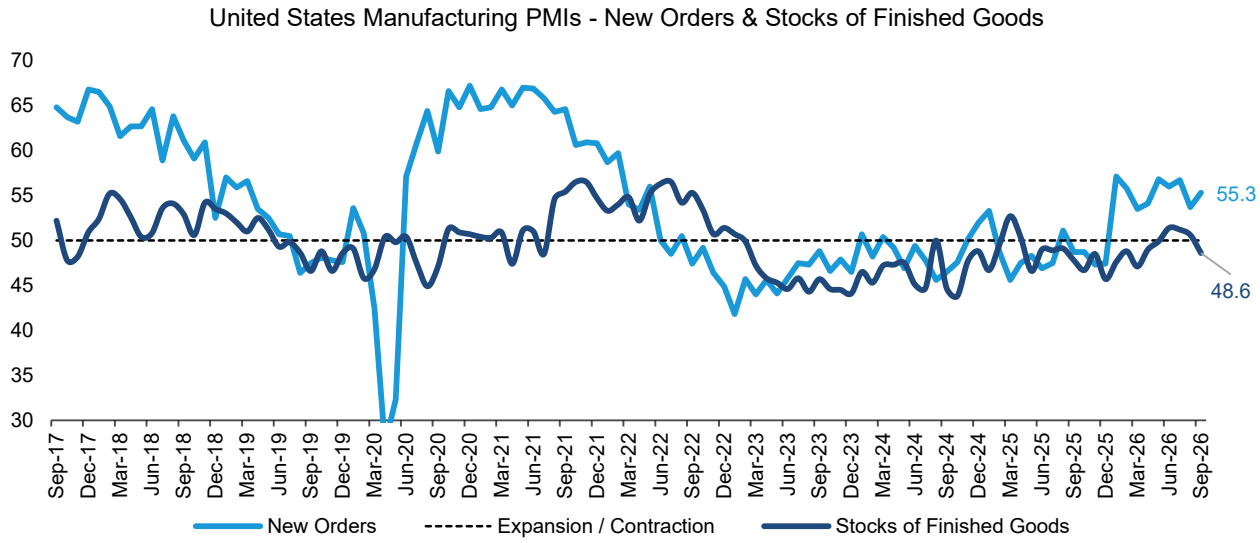
EXHIBIT 40: **France Manufacturing Backlogs**



Source: S&P Global, Bernstein analysis

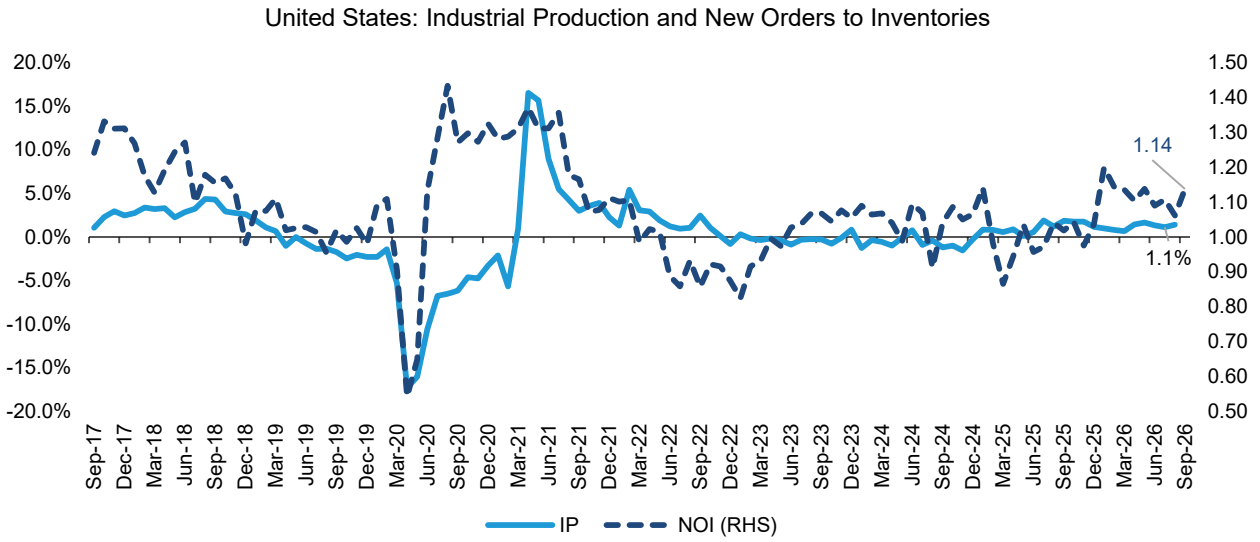
UNITED STATES

EXHIBIT 41: **United States Manufacturing PMIs - New Orders & Stocks of Finished Goods**



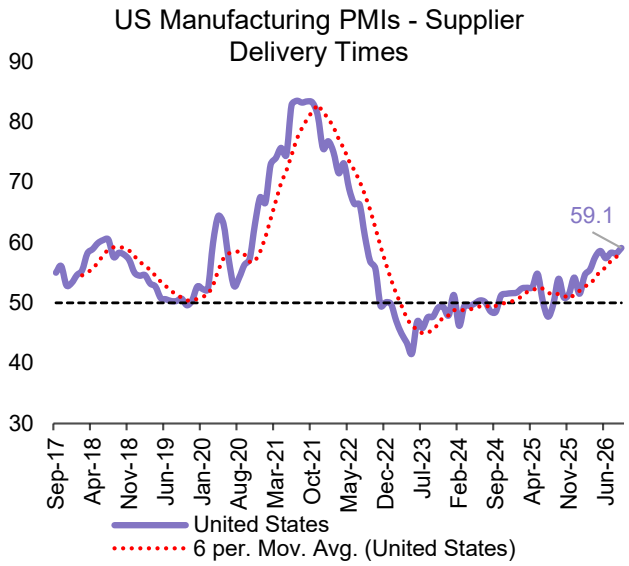
Source: ISM, Bernstein analysis

EXHIBIT 42: **Industrial Production & NOI**



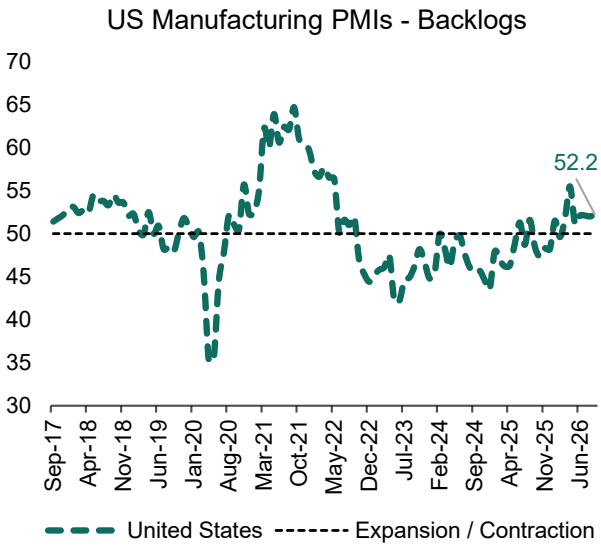
Source: ISM, Federal Reserve, Bernstein analysis

EXHIBIT 43: **US Supplier Delivery Times**



Supplier delivery time scale is inverted, with readings above 50 indicating an expansion of delivery times and readings below indicating a contraction
Source: S&P Global, Bernstein analysis

EXHIBIT 44: **US Manufacturing Backlogs**

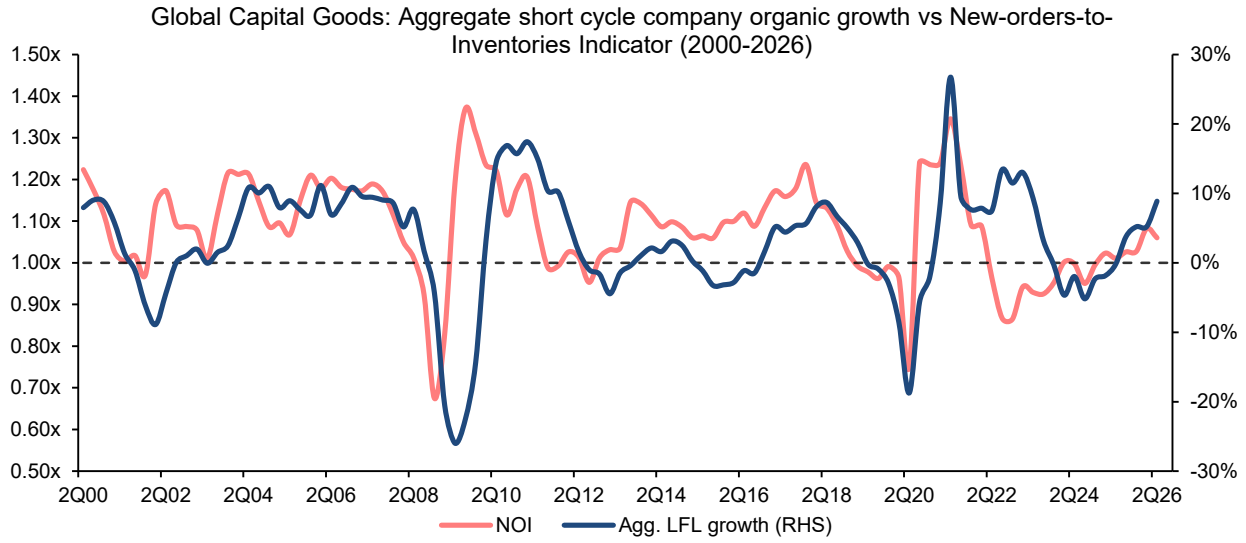


Source: S&P Global, Bernstein analysis

THE SCI EXPLAINED

The Short-Cycle Indicator (SCI) is a proprietary metric built using PMI and expressed as the ratio of industrial new orders to inventories. We weight the regional PMI data according to the geographic exposure of the sector. The reason the SCI is a leading indicator of revenue growth comes down to the link between the SCI and industrial production. If there are excessive inventories (a ratio below 1.0), then to cut inventories, production is cut. Similarly, when there are more orders than inventories (a ratio above 1.0), production needs to be increased. Our analysis shows that the SCI tends to lead organic sales growth by 9-12 months.

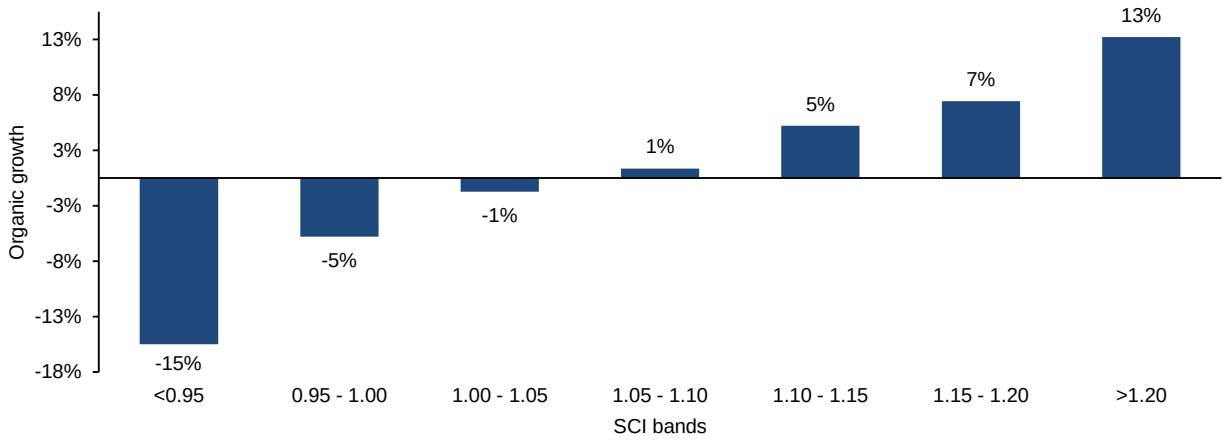
EXHIBIT 45: **Companies or divisions with strong short cycle exposure track well against the NOI historically**



Source: ISM, S&P Global, Bernstein analysis

The indicator is mechanical and does not reflect any bullish or bearish market sentiment. It assesses 20-25 years of quarterly organic sales growth for the world's largest short-cycle industrials, using econometric analysis, or linear regression. Our SCI forecasts future revenue growth by understanding the relationship between historical revenue growth versus the levels of the indicator. For example, an SCI level of 1.20-1.25 is historically consistent with 10-12% organic sales growth.

EXHIBIT 46: **Implied LFL sales growth/decline according to ranges of the SCI**



Source: Bernstein Research/Equity, ISM, S&P Global, Caixin

THE BREAKDOWN OF THE RELATIONSHIP IN THE POST PANDEMIC YEARS

Why did the relationship break down?

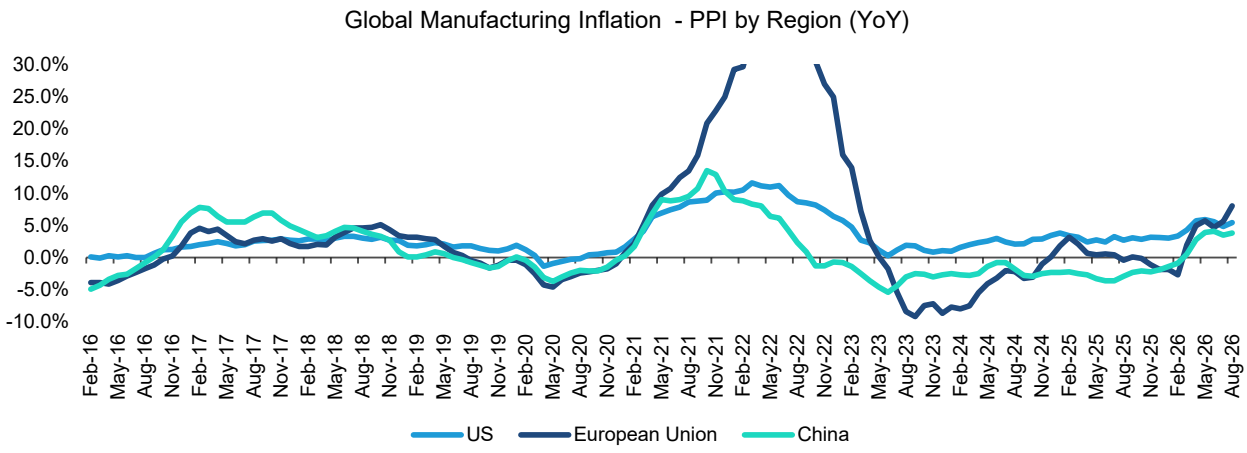
Historically, the PMI New Orders-to-Inventory ratio has been a strong leading indicator of short-cycle industrial sales. However, after COVID, sales growth was no longer constrained by demand; it was constrained by supply. Companies entered 2022 with record backlogs, severe component shortages, logistics bottlenecks and labor constraints. As a result, shipments and revenues continued to grow even as new orders weakened and inventories rose.

At the same time, elevated inflation and multiple rounds of price increases boosted reported LFL sales growth, masking the deterioration in underlying demand.

Why did it take so long to reconnect?

The post-pandemic backlog cycle was unprecedented. Industrial companies spent much of 2022-23 converting accumulated backlog into revenue as supply chains normalized, delaying the normal transmission from weaker orders to reported sales. Only after backlogs largely normalized, supply constraints eased and pricing tailwinds faded did sales growth begin to reflect current demand conditions again. As a result, the traditional relationship between the PMI New Orders-to-Inventory ratio and industrial sales took roughly two years longer than normal to re-establish itself.

EXHIBIT 47: **Global PPI by region**



Source: Eurostat, BLS, NBS, Bloomberg L.P., Bernstein analysis

INDUSTRIAL INDICATORS MASTER SHEET

EXHIBIT 48: **Global Industrial Indicators**

Global Capital Goods: Industrial Indicators

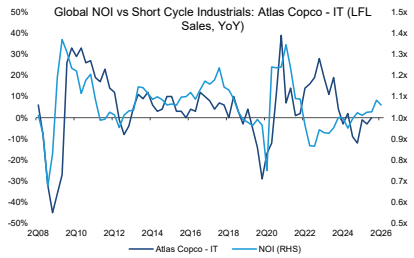
		Indicator	Unit	Periodicity	Update	Current	MoM Δ	Prior Period	T6m Avg.	T6m Trend
Europe		**Purchasing Manager's Index**								
	EU	EU Mfg PMI New Orders SA	Diff. Index	Monthly	Sep-26	52.2	▲	51.7	50.9	
	EU	EU Mfg PMI Stocks of Finished Goods SA	Diff. Index	Monthly	Sep-26	49.5	▲	48.4	48.7	
	EU	EU Mfg PMI Suppliers' Delivery Times SA	Diff. Index	Monthly	Sep-26	57.6	▼	58.4	59.2	
	EU	EU Mfg PMI Backlogs of Work SA	Diff. Index	Monthly	Sep-26	51.4	▲	50	49.8	
	EU	EU Mfg PMI Future Output Index	Diff. Index	Monthly	Sep-26	61.4	▲	60.9	58.8	
	EU	EU Machinery & Equipment PMI New Orders SA	Diff. Index	Monthly	Sep-26	55.3	▲	54.9	53.4	
	DE	Germany Mfg PMI New Orders SA	Diff. Index	Monthly	Sep-26	54.4	▼	55.5	52.1	
	DE	Germany Mfg PMI Stocks of Finished Goods SA	Diff. Index	Monthly	Sep-26	49.7	▲	47.4	47.9	
	DE	Germany Mfg PMI Backlogs of Work SA	Diff. Index	Monthly	Sep-26	54.0	▲	52.3	50.2	
	FR	France Mfg PMI New Orders SA	Diff. Index	Monthly	Sep-26	48.3	▲	47.3	48.4	
	FR	France Mfg PMI Stocks of Finished Goods SA	Diff. Index	Monthly	Sep-26	46.9	▲	46.8	48.6	
	FR	France Mfg PMI Backlogs of Work SA	Diff. Index	Monthly	Sep-26	49.0	▲	48	49.8	
	UK	UK Mfg PMI New Orders SA	Diff. Index	Monthly	Sep-26	51.2	▲	50.6	51.7	
	UK	UK Mfg PMI Stocks of Finished Goods SA	Diff. Index	Monthly	Sep-26	48.0	▼	49.4	49.5	
	UK	UK Mfg PMI Backlogs of Work SA	Diff. Index	Monthly	Sep-26	50.4	▲	49.1	48.5	
		Industrial Production								
		EU Industrial Production (ex Construction)	YoY (%)	Monthly	Jul-26	0.1%	▼	0.4%	-0.2%	
		EU Ind Prod Manufacture of Tools EU SWDA	YoY (%)	Monthly	Jul-26	-2.1%	▼	-0.5%	-3.9%	
		Germany Industrial Production (ex Construction)	YoY (%)	Monthly	Aug-26	0.6%	▲	-2.4%	-1.7%	
		France Industrial Production (ex Construction)	YoY (%)	Monthly	Aug-26	0.3%	▲	-0.8%	1.0%	
		Italy Industrial Production (ex Construction)	YoY (%)	Monthly	Aug-26	0.2%	▲	-0.2%	0.5%	
		Equipment / Industrial Demand								
		Germany Industrial Mfg Orders	YoY (%)	Monthly	Aug-26	3.0%	▼	14.0%	6.2%	
		Germany Plant & Machinery Orders YoY	YoY (%)	Monthly	Aug-26	-5.0%	▼	2.0%	7.3%	
		Sweden New Industrial Orders YoY SWDA	YoY (%)	Monthly	Aug-26	4.2%	▼	7.8%	7.1%	
		EC Eurozone Mfg Industry Confidence Order Books	Index	Monthly	Sep-26	-15.8	▲	-18.4	-18.2	
		Industrial Capacity Utilisation								
		European Commission Capacity Utilization Eurozone SA	%	Quarterly	Sep-26	78.2%	▼	78.5%	78.0%	
		European Commission Capacity Utilization Germany SA	%	Quarterly	Sep-26	77.9%	▼	78.2%	77.6%	
		France Capacity Utilization Rate	%	Monthly	Sep-26	76.8%	▲	76.4%	76.4%	
		Manufacturing Expenditure / GDP								
		EU Machinery, Equip & Weapons Syst.	YoY (%)	Quarterly	Jun-26	3.0%	▼	3.7%	2.5%	
		China Exports to European Union	Value	Monthly	Aug-26	55,106	▼	57,976	54,061	
		European Union Gross Fixed Capital Formation Chained 2020 Prices	Value	Quarterly	Jun-26	832,334	▲	828,214	825,200	
Rest of World		**Purchasing Manager's Index**								
		ISM Manufacturing Report on Business New Orders SA	Diff. Index	Monthly	Sep-26	55.3	▲	53.7	55.4	
		ISM Manufacturing Report on Business Inventories	Diff. Index	Monthly	Sep-26	48.6	▼	50.6	50.1	
		US Manufacturing PMI Suppliers' Delivery Times SA	Diff. Index	Monthly	Sep-26	40.9	▼	41.8	41.8	
		US Manufacturing PMI Backlogs of Work SA	Diff. Index	Monthly	Sep-26	52.2	▲	52	52.5	
		RatingDog China Manufacturing PMI New Orders SA	Diff. Index	Monthly	Sep-26	53.4	▲	52	52.5	
		RatingDog China Manufacturing PMI Stocks of Finished Goods SA	Diff. Index	Monthly	Sep-26	51.0	▼	51.3	50.5	
		Taiwan PMI Manufacturing New Orders	Diff. Index	Monthly	Sep-26	63.6	▼	66.5	62.0	
		S&P Global Japan Manufacturing PMI New Orders SA	Diff. Index	Monthly	Sep-26	53.7	▼	55.7	54.1	
		South Korea Manufacturing PMI New Orders SA	Diff. Index	Monthly	Sep-26	56.3	▲	53.5	54.3	
		Industrial Production								
		US Industrial Production	YoY (%)	Monthly	Aug-26	1.4%	▲	1.1%	1.2%	
		South Korea Industrial Production	YoY (%)	Monthly	Aug-26	-2.4%	▼	4.3%	2.2%	
		India Industrial Production	YoY (%)	Monthly	Aug-26	8.0%	▲	7.4%	5.6%	
		Equipment / Industrial Demand								
		US Capital Goods (ex Defense / Aircraft) New Orders	YoY (%)	Monthly	Aug-26	14.9%	▲	13.4%	11.0%	
		Japan Machine Tool Orders	YoY (%)	Monthly	Oct-26	60.4%	▼	60.4%	51.8%	
		Japan Core Machinery Orders	YoY (%)	Monthly	Jul-26	11.2%	▼	16.9%	12.5%	
		Philadelphia Fed: 6 Month Forecast New Orders	Index	Monthly	Sep-26	62.3	▼	66	51.8	
		Industrial Capacity								
		US Capacity Utilization % of Total Capacity SA	%	Monthly	Aug-26	76.3%	▼	76.3%	75.9%	
		Japan Capacity Utilization Operating Ratio Manufacturing SA	Index	Monthly	Jul-26	107.7	▲	107.2	104.5	
		Manufacturing Expenditure / GDP								
		China Fixed Assets Investment (Ex Rural Households) Cumulative	%	Monthly	Aug-26	-7.2%	▼	-6.7%	-3.9%	
		Japan Capital Investment Excl Software YoY	%	Quarterly	Jun-26	3.6%	▲	-1%	4.1%	

Updated as of 13-Oct-2026

Source: Banque de France, Central Statistic Office India, CGA PRC, Deutsche Bundesbank, EC, Eurostat, Federal Reserve, ISM, Ministry of Data and Statistics, Ministry of Economy Trade and Industry Japan, Ministry of Finance Japan, National Development Council, NBS

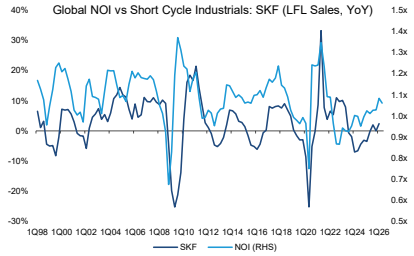
NOI AND LFL SALES GROWTH

EXHIBIT 49: **Global NOI vs Short Cycle Industrials: Atlas Copco - IT (LFL Sales, YoY)**



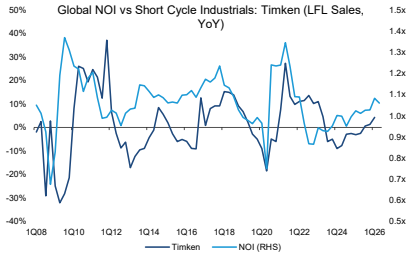
Source: ISM, S&P Global, company data, Bernstein analysis

EXHIBIT 50: **Global NOI vs Short Cycle Industrials: SKF (LFL Sales, YoY)**



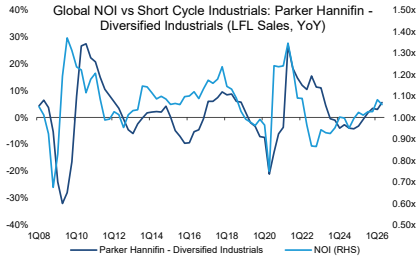
Source: ISM, S&P Global, company data, Bernstein analysis

EXHIBIT 51: **Global NOI vs Short Cycle Industrials: Timken (LFL Sales, YoY)**



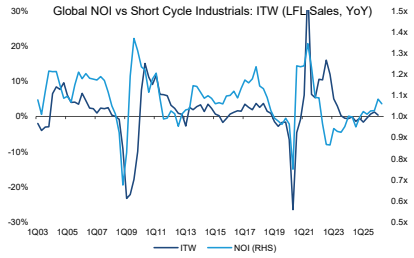
Source: ISM, S&P Global, company data, Bernstein analysis

EXHIBIT 52: **Global NOI vs Short Cycle Industrials: Parker Hannifin - Diversified Industrials (LFL Sales, YoY)**



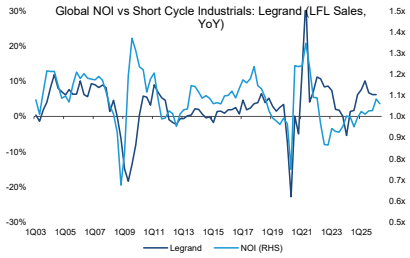
Source: ISM, S&P Global, company data, Bernstein analysis

EXHIBIT 53: **Global NOI vs Short Cycle Industrials: ITW (LFL Sales, YoY)**



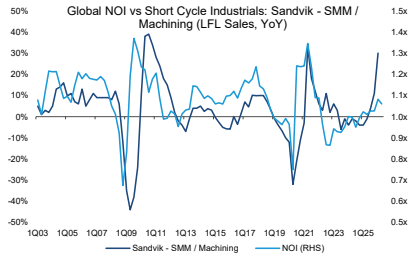
Source: ISM, S&P Global, company data, Bernstein analysis

EXHIBIT 54: **Global NOI vs Short Cycle Industrials: Legrand (LFL Sales, YoY)**



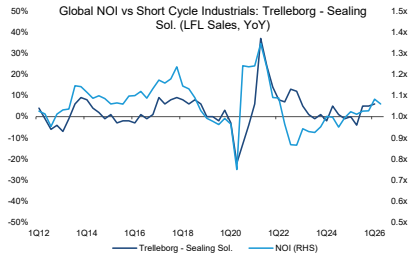
Source: ISM, S&P Global, company data, Bernstein analysis

EXHIBIT 55: **Global NOI vs Short Cycle Industrials: Sandvik - SMM / Machining (LFL Sales, YoY)**



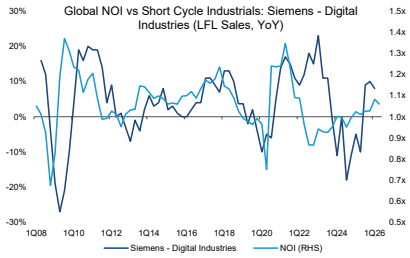
Source: ISM, S&P Global, company data, Bernstein analysis

EXHIBIT 56: **Global NOI vs Short Cycle Industrials: Trelleborg - Sealing Sol. (LFL Sales, YoY)**



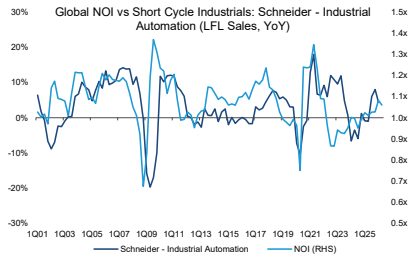
Source: ISM, S&P Global, company data, Bernstein analysis

EXHIBIT 57: **Global NOI vs Short Cycle Industrials: Siemens - Digital Industries (LFL Sales, YoY)**



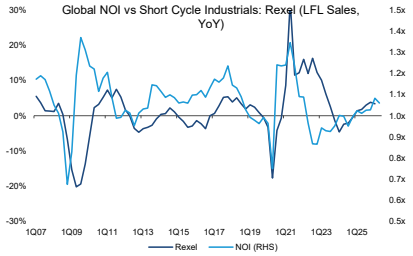
Source: ISM, S&P Global, company data, Bernstein analysis

EXHIBIT 58: **Global NOI vs Short Cycle Industrials: Schneider - Industrial Automation (LFL Sales, YoY)**



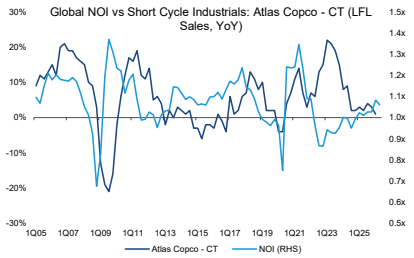
Source: ISM, S&P Global, company data, Bernstein analysis

EXHIBIT 59: **Global NOI vs Short Cycle Industrials: Rexel (LFL Sales, YoY)**



Source: ISM, S&P Global, company data, Bernstein analysis

EXHIBIT 60: **Global NOI vs Short Cycle Industrials: Atlas Copco - CT (LFL Sales, YoY)**



Source: ISM, S&P Global, company data, Bernstein analysis

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